FIRST ACCEPTANCE CORPORATION



2023 ANNUAL REPORT

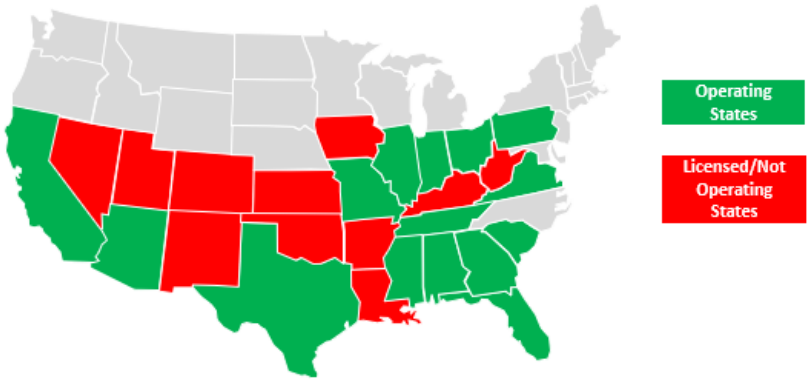
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Our Marketplace

Prior to the December 1, 2023 sale of our insurance agency operations, we primarily sold non-standard personal automobile insurance through retail locations staffed with employee-agents. We also completed sales over the phone through our call center and through a consumer-based website and mobile platform. Through December 1, 2023, we operated under an "Agency Model" in 15 states where we sold both our own underwritten insurance policies and those issued by third-party insurers for which we earned commissions. We now solely offer our own underwritten insurance policies through independent agents in these 15 states, and we are also licensed to write insurance in 11 other states that are not currently utilized.



Stock Market Information

Since April 9, 2018, our common stock has been listed on the OTCQX market under the symbol "FACO." Prior to this date, our common stock traded on the New York Stock Exchange under the symbol "FAC." The following table sets forth quarterly high and low sales prices for our common stock for the periods indicated. All price quotations represent prices between dealers, without accounting for retail mark-ups, mark-downs, or commissions, and may not represent actual transactions.

	Price Range	
	High	Low
Year Ended December 31, 2022:		
First Quarter	$ 2.18	$ 1.78
Second Quarter	$ 1.98	$ 1.59
Third Quarter	$ 1.67	$ 1.28
Fourth Quarter	$ 1.55	$ 0.71
Year Ended December 31, 2023:		
First Quarter	$ 0.95	$ 0.70
Second Quarter	$ 1.25	$ 0.76
Third Quarter	$ 1.30	$ 0.85
Fourth Quarter	$ 2.42	$ 1.05

The closing price of our common stock on March 4, 2023 was $2.14.

Holders

According to the records of our transfer agent, there were 235 registered holders of record of our common stock on February 29 2024, including record holders such as banks and brokerage firms who hold shares for beneficial holders, and 37,980,139 shares of our common stock were outstanding.

Dividends

On May 4, 2021, the Board of Directors declared a special cash dividend of $0.27 per common share, that was paid on June 4, 2021, to all common stockholders of record as of the close of business on May 20, 2021.

On December 6, 2021, the Board of Directors declared a special cash dividend of $0.11 per common share, that was paid on December 21, 2021, to all common stockholders of record as of the close of business on December 16, 2021. Both dividends paid by the Company in 2021 were non-taxable return of capital distributions to stockholders.

There were no dividends paid in 2023 or 2022. Any future determination to pay dividends will be at the discretion of our Board of Directors and will depend upon, among other factors, our results of operations, financial condition, capital requirements and contractual restrictions.

Selected Financial Data

The following tables provide selected historical consolidated financial data of the Company at the dates and for the periods indicated. In conjunction with the data provided in the following tables and in order to understand our historical consolidated financial and operating data more fully, you should also read our "Management's Discussion and Analysis of Financial Condition and Results of Operations" and our "Consolidated Financial Statements" and the accompanying notes included in this report. We derived our selected historical consolidated financial data as of December 31, 2023, and 2022 and for the years ended December 31, 2023, 2022, and 2021 from our consolidated financial statements included in this report. We derived our selected historical consolidated financial data as of December 31, 2021, 2020 and 2019 and for the years ended December 31, 2020, and 2019 from our consolidated financial statements which are not included in this report. The results for past periods are not necessarily indicative of the results to be expected for any future period.

	Year Ended December 31,				
	2023	2022	2021	2020	2019
Statement of Operations Data:	(in thousands, except per share data)				
Revenues:					
Premiums earned	$ 397,171	$ 230,529	$ 209,043	$ 206,825	$ 225,825
Commission and fee income	55,068	53,012	51,664	47,448	45,179
Billing fees and service charges	25,003	15,931	13,365	13,123	14,581
Investment income	8,654	3,895	3,638	3,203	5,706
Net other gains (losses)	74,680	(1,071)	7,537	(1,019)	1,400
	560,576	302,296	285,247	269,580	292,691
Costs and expenses:					
Losses and loss adjustment expenses	276,461	181,260	154,849	133,777	145,016
Operating expenses	177,601	136,150	128,348	116,507	119,657
Other expenses	780	931	809	786	857
Stock-based compensation	338	280	242	277	531
Depreciation	2,154	2,532	1,522	1,747	1,435
Amortization of identifiable intangible assets	391	790	374	469	596
Interest expense	3,818	2,386	1,684	2,378	4,884
	461,543	324,329	287,828	255,941	272,976
Income (loss) before income taxes	99,033	(22,033)	(2,581)	13,639	19,715
Provision (benefit) for income taxes	25,121	(4,545)	(1,353)	3,221	4,359
Net income (loss)	$ 73,912	$ (17,488)	$ (1,228)	$ 10,418	$ 15,356
Net income (loss) per basic shares	$ 1.94	$ (0.46)	$ (0.03)	$ 0.27	$ 0.37
Net income (loss) per diluted shares	$ 1.92	$ (0.46)	$ (0.03)	$ 0.27	$ 0.37

	Year Ended December 31,				
	2023	2022	2021	2020	2019
Balance Sheet Data:					
Cash and invested assets	$ 318,964	$ 176,834	$ 197,746	$ 218,686	$ 225,838
Total assets	557,424	355,939	322,648	340,954	356,411
Loss and loss adjustment expense reserves	165,346	107,100	93,278	91,788	109,193
Debentures payable and term loan	40,621	40,575	40,530	40,484	45,414
Total liabilities	415,576	290,417	229,751	229,268	255,549
Total stockholders' equity	141,848	65,522	92,897	111,686	100,862
Book value per common share	$ 3.71	$ 1.73	$ 2.44	$ 2.93	$ 2.42

FIRST ACCEPTANCE CORPORATION AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(in thousands, except per share data)

	December 31, 2023	December 31, 2022
ASSETS		
Investments in fixed maturities, available-for-sale at fair value (amortized cost of $200,544 and $123,505, respectively)	$ 192,885	$ 113,323
Investments in equity securities at fair value (cost of $9,125 and $9,521, respectively)	10,660	9,911
Cash, cash equivalents, restricted cash, and restricted cash equivalents	109,780	49,072
Premiums, fees, and commissions receivable, net of allowance of $491 and $375	149,764	94,278
Consideration receivable from sale of insurance agency, at fair value (Note 17)	59,825	—
Deferred tax assets, net	—	14,177
Other investments	5,639	4,528
Other assets	9,977	9,595
Operating lease right-of-use assets	5,020	14,520
Property and equipment, net	2,892	4,831
Deferred acquisition costs	9,452	7,062
Goodwill	—	28,786
Identifiable intangible assets, net	1,530	5,856
TOTAL ASSETS	$ 557,424	$ 355,939
LIABILITIES AND STOCKHOLDERS' EQUITY		
Loss and loss adjustment expense reserves	$ 165,346	$ 107,100
Unearned premiums and fees	164,479	103,934
Debentures payable	40,621	40,575
Operating lease liabilities	5,401	14,724
Deferred tax liability, net	4,558	—
Payable for securities	1,510	—
Accrued expenses	10,023	8,522
Income taxes payable	5,733	—
Other liabilities	17,905	15,562
Total liabilities	415,576	290,417
Stockholders' equity:		
Preferred stock, $.01 par value, 10,000 shares authorized, no shares issued or outstanding	—	—
Common stock, $.01 par value, 75,000 shares authorized; 38,265 and 37,868 issued and outstanding, respectively	382	379
Additional paid-in capital	456,309	455,891
Accumulated other comprehensive loss, net of tax of $(2,790) and $(3,319), respectively	(4,869)	(6,862)
Accumulated deficit	(309,974)	(383,886)
Total stockholders' equity	141,848	65,522
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	$ 557,424	$ 355,939

See notes to consolidated financial statements.

FIRST ACCEPTANCE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(in thousands, except per share data)

	Year Ended December 31,		
	2023	2022	2021
Revenues:			
Premiums earned	$ 397,171	$ 230,529	$ 209,043
Commission and fee income	55,068	53,012	51,664
Billing fees and service charges	25,003	15,931	13,365
Investment income	8,654	3,895	3,638
Gain on sale of insurance agency (Note 17)	73,034	—	—
Net gains (losses) on investments and foreclosed real estate held for sale	1,646	(1,071)	7,537
Total revenues	560,576	302,296	285,247
Costs and expenses:			
Losses and loss adjustment expenses	276,461	181,260	154,849
Insurance operating expenses	177,601	136,150	128,348
Other expenses	780	931	809
Stock-based compensation	338	280	242
Depreciation	2,154	2,532	1,522
Amortization of identifiable intangible assets	391	790	374
Interest expense	3,818	2,386	1,684
Total costs and expenses	461,543	324,329	287,828
Income (loss) before income taxes	99,033	(22,033)	(2,581)
Provision (benefit) for income taxes	25,121	(4,545)	(1,353)
Net income (loss)	$ 73,912	$ (17,488)	$ (1,228)
Net income (loss) per share:			
Basic	$ 1.94	$ (0.46)	$ (0.03)
Diluted	$ 1.92	$ (0.46)	$ (0.03)
Number of shares used to calculate net income (loss) per share:			
Basic	38,086	37,795	38,151
Diluted	38,409	37,795	38,151
Reconciliation of net income (loss) to comprehensive income (loss):			
Net income (loss)	$ 73,912	$ (17,488)	$ (1,228)
Unrealized change in investments arising during the period, net of tax expense (benefit) of $530, $(2,532) and $(664), respectively	1,993	(9,525)	(2,499)
Reclassification of net realized losses and other-than-temporary impairment ("OTTI") on investments, included in net income (loss)	—	115	10
Comprehensive income (loss)	$ 75,905	$ (26,898)	$ (3,717)
Detail of net gains (losses) on investments and foreclosed real estate held for sale:			
Net realized gains on sales and redemptions	500	789	6,143
Net unrealized gains (losses) on equity securities, includes $511, $(723) and $726 of reclassification for realized gains and losses, respectively	1,146	(1,677)	728
Net gain on foreclosed real estate held for sale	—	—	666
Other-than-temporary impairment ("OTTI") of fixed maturities, available for sale	—	(183)	—
Net gains (losses) on investments and foreclosed real estate held for sale	$ 1,646	$ (1,071)	$ 7,537

See notes to consolidated financial statements.

FIRST ACCEPTANCE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF STOCKHOLDERS' EQUITY
(in thousands)

	Common Stock		Additional paid-in	Accumulated other comprehensive	Accumulated	Total stockholders'
	Shares	Amount	capital	income (loss)	deficit	equity
Balances at December 31, 2020	38,135	$ 381	$ 456,815	$ 5,162	$ (350,672)	$ 111,686
Net loss	—	—	—	—	(1,228)	(1,228)
Net unrealized change on investments (net of tax benefit of $664)	—	—	—	(2,499)	—	(2,499)
Stock-based compensation	5	—	242	—	—	242
Issuance of shares under Employee Stock Purchase Plan	84	1	137	—	—	138
Vested restricted stock units, net of repurchases	182	2	(70)	—	—	(68)
Retirement of treasury stock	(400)	(4)	(872)	—	—	(876)
Dividends paid	—	—	—	—	(14,498)	(14,498)
Balances at December 31, 2021	38,006	$ 380	$ 456,252	$ 2,663	$ (366,398)	$ 92,897
Net loss	—	—	—	—	(17,488)	(17,488)
Net unrealized change on investments (net of tax benefit of $2,532)	—	—	—	(9,525)	—	(9,525)
Stock-based compensation	5	—	280	—	—	280
Issuance of shares under Employee Stock Purchase Plan	110	1	112	—	—	113
Vested restricted stock units, net of repurchases	117	2	(21)	—	—	(19)
Retirement of treasury stock	(370)	(4)	(732)	—	—	(736)
Balances at December 31, 2022	37,868	$ 379	$ 455,891	$ (6,862)	$ (383,886)	$ 65,522
Net income	—	—	—	—	73,912	73,912
Net unrealized change on investments (net of tax expense of $530)	—	—	—	1,993	—	1,993
Stock-based compensation	7	—	338	—	—	338
Issuance of shares under Employee Stock Purchase Plan	149	2	114	—	—	116
Vested restricted stock units, net of repurchases	241	1	(34)	—	—	(33)
Balances at December 31, 2023	38,265	$ 382	$ 456,309	$ (4,869)	$ (309,974)	$ 141,848

See notes to consolidated financial statements.

FIRST ACCEPTANCE CORPORATION AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(in thousands)

	Year Ended December 31,		
	2023	2022	2021
Cash flows from operating activities:			
Net income (loss)	$ 73,912	$ (17,488)	$ (1,228)
Adjustments to reconcile net income (loss) to cash provided by (used in) operating activities:			
Unrealized (gains) losses on equity securities	(1,146)	1,677	(728)
Depreciation	2,154	2,532	1,522
Amortization of identifiable intangible assets	391	790	374
Stock-based compensation	338	280	242
Deferred income taxes	18,214	(4,519)	(1,421)
Investment (income) loss from limited partnership investments	(691)	171	(859)
Realized gains on sales and redemptions of investments	(500)	(789)	(6,143)
Net gain on foreclosed real estate held for sale	—	—	(666)
Gain on sale of insurance agency (Note 17)	(73,034)	—	—
Other	(294)	(439)	621
Change in:			
Premiums, fees, and commission receivable	(55,370)	(39,218)	308
Deferred acquisition costs	(2,390)	(4,028)	(36)
Loss and loss adjustment expense reserves	58,246	13,822	1,490
Unearned premiums and fees	60,545	39,439	(1,107)
Other assets	(382)	(387)	(220)
Accrued expenses	(3,125)	996	2,186
Other liabilities	6,135	3,077	(1,132)
Other	1,278	195	199
Net cash provided by (used in) operating activities	84,281	(3,889)	(6,598)
Cash flows from investing activities:			
Purchases of investments	(94,814)	(41,483)	(8,796)
Maturities and redemptions of investments	14,889	31,398	31,785
Sales of investments	2,664	5,253	13,926
Distributions from other investments	877	1,193	514
Capital expenditures	(1,339)	(4,188)	(2,365)
Acquisition of identifiable intangible assets	—	(23)	(1,494)
Net proceeds from sale of insurance agency	54,067	—	—
Proceeds from sale of foreclosed real estate held for sale	—	—	910
Loss on abandonment of property and equipment	—	627	—
Net cash (used in) provided by investing activities	(23,656)	(7,223)	34,480
Cash flows from financing activities:			
Purchase of treasury stock	—	(736)	(876)
Dividends paid	—	—	(14,498)
Net proceeds from employee issuance of common stock	116	113	70
Taxes remitted in relation to employee restricted stock units exercised	(33)	(19)	—
Net cash provided by (used in) financing activities	83	(642)	(15,304)
Net change in cash, cash equivalents, restricted cash and restricted cash equivalents	60,708	(11,754)	12,578
Cash, cash equivalents, restricted cash, and restricted cash equivalents, beginning of period	49,072	60,826	48,248
Cash, cash equivalents, restricted cash, and restricted cash equivalents, end of period	$ 109,780	$ 49,072	$ 60,826

See notes to consolidated financial statements.

1. Summary of Significant Accounting Policies

General

First Acceptance Corporation (the "Company") is a holding company based in Nashville, Tennessee with operating subsidiaries whose primary operations have included the selling, servicing, and underwriting of non-standard personal automobile insurance and related products. In 2023 and 2022, the Company generated revenue from selling non-standard personal automobile insurance products and related products in 15 states. The Company issues policies of insurance through a subsidiary First Acceptance Insurance Company, Inc., and its subsidiaries: First Acceptance Insurance Company of Georgia, Inc. and First Acceptance Insurance Company of Tennessee, Inc. (collectively, the "Insurance Companies") and had operated as an insurance agency though another subsidiary, Acceptance Insurance Agency of Tennessee, Inc. ("the Insurance Agency"), which was sold effective December 1, 2023 (see Note 17).

For the year ended December 31, 2023, 25% of insurance company operating revenues resulted from insurance policies produced by a single independent agent.

Basis of Consolidation and Reporting

The accompanying consolidated financial statements include the accounts of the Company and its subsidiaries. The accounts of First Acceptance Statutory Trust I ("FAST I") are not consolidated since it does not meet the requirements for consolidation of FASB ASC 810, "*Consolidation"* (see Note 10). Management evaluates the Company's investment in FAST I on an ongoing basis and continues to conclude that, while FAST I continues to be a variable interest entity, the Company is not the primary beneficiary and therefore, FAST I is not included in the Company's consolidated financial statements. These financial statements have been prepared in conformity with U.S. generally accepted accounting principles ("GAAP"). All intercompany accounts and transactions have been eliminated in consolidation.

Use of Estimates

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. It also requires disclosure of contingent assets and liabilities at the date of the consolidated financial statements and the reported revenues and expenses during the period. Actual results could differ from those estimates.

Subsequent Events

In connection with the preparation of these consolidated financial statements, the Company has evaluated subsequent events through March 4, 2024, which is the date the consolidated financial statements were available to be issued.

Investments

Investments in fixed maturities, available-for-sale at fair value, include bonds with fixed principal payment schedules and mortgage-backed and asset-backed securities which are amortized using the retrospective method. These securities are carried at fair value with the corresponding unrealized appreciation or depreciation, net of deferred income taxes, reported in other comprehensive income (loss).

Investments in equity securities at fair value, include mutual funds and preferred stocks. These securities are carried at fair value, and the corresponding unrealized appreciation or depreciation is reported in net income (loss).

Premiums and discounts on collateralized mortgage obligations ("CMOs") are amortized over a period based on estimated future principal payments, including prepayments, with premiums amortized through the earliest call date if applicable. Prepayment assumptions are reviewed periodically and adjusted to reflect actual prepayments and changes in expectations. The most significant determinants of prepayments are the difference between interest rates on the underlying mortgages and the current mortgage loan rates and the structure of the security. Other factors affecting prepayments include the size, type, and age of underlying mortgages, the geographic location of the mortgaged properties, and the credit worthiness of the borrowers. Variations from anticipated prepayments will affect the life and yield of these securities.

Investment securities are exposed to various risks such as interest rate, market, and credit risk. Fair values of securities fluctuate based on changing market conditions. Significant changes in market conditions could materially affect portfolio value in the near term. Previously, the Company accounted for other than temporary impairments ("OTTI") for available-for-sale fixed maturities using the

provisions of FASB ASC 320 related to recognition of other than temporary impairments on investments. Amendments from the adoption of ASU 2016-13 have been implemented. For available-for-sale fixed maturities in an unrealized loss position, the Company first assesses whether it intends to sell, or it is more likely than not that it will be required to sell the security before recovery of the amortized cost basis. If either of the criteria regarding intent or requirement to sell is met, the security's amortized cost basis is written down to fair value through income. For available-for-sale fixed maturities that do not meet the aforementioned criteria, the Company evaluates whether the decline in fair value has resulted from credit losses or other factors. In making this assessment, management considers the extent to which fair value is less than amortized cost, any changes to the rating of the maturity by a rating agency, and adverse conditions specifically related to the security, among other factors. If this assessment indicates that a credit loss exists, the present value of cash flows expected to be collected from the security are compared to the amortized cost basis of the maturity. If the present value of cash flows expected to be collected is less than the amortized cost basis, a credit loss exists and an allowance for credit losses is recorded for the credit loss, limited by the amount that the fair value is less than the amortized cost basis. Any impairment that has not been recorded through an allowance for credit losses is recognized in other comprehensive income (loss).

Management reviews investments in fixed maturities, available-for-sale for credit losses on a quarterly basis. Changes in the allowance for credit losses are recoded as credit loss expense (or reversal). Losses are charged against the allowance when management believes the uncollectibility of an available-for-sale fixed maturity is confirmed or when either of the criteria regarding intent or requirement to sell is met. No impairments for available-for-sale fixed maturities were recorded in 2023 and 2022.

Realized gains and losses on sales and redemptions of securities are computed based on specific identification.

Cash, Cash Equivalents, Restricted Cash, and Restricted Cash Equivalents

Cash, cash equivalents, and restricted cash in connection with reinsurance contracts and deposits with state insurance regulators, consist of bank demand deposits and other highly liquid investments and are stated at cost which approximates fair value. All investments with maturities of three months or less at the date of purchase are considered cash equivalents. On December 31, 2023, and December 31, 2022, the Company had restricted cash equivalents of $5.5 million and $5.0 million, respectively.

Other Investments

Other investments consist of limited partnership interests and an investment in the common stock of a real estate investment trust ("REIT"). A previous investment in an REIT was sold in 2021. Limited partnership interests are recorded at net asset value which approximates fair value. Valuations are based upon the GAAP financial statements of the partnerships which are required to be audited annually.

The common stock of the REIT is recorded at a fair value and the corresponding unrealized appreciation or depreciation is reported in net income (loss). Since the common stock of the REIT has no readily determinable fair value, it is measured at cost, less any impairment, plus or minus changes resulting from observable price changes in orderly transactions for the identical or a similar investment of the same issuer.

The change in net asset value of limited partnership interests is recorded in investment income in the consolidated statements of operations.

Revenue Recognition

Insurance premiums earned include policy and renewal fees and are recognized on a pro-rata basis over the respective terms of the policies, with the amounts to be earned in the future recorded as unearned premiums on the consolidated balance sheets. Written premiums are recorded as of the effective date of the policies for the full policy premium, although most policyholders elect to pay on a monthly installment basis. Premiums and fees are generally collected in advance of providing risk coverage, minimizing the Company's exposure to credit risk. Premiums receivable are recorded net of an estimated allowance for uncollectible amounts.

Commission and fee income of the Insurance Agency included commissions paid by third-party insurance carriers which were earned upon the effective date of bound coverage, less an estimated allowance for returned commissions based upon historical experience, since no performance obligation remained in these arrangements after coverage was bound and the control of the underlying insurance policy transferred to the third-party carrier. Commission and fee income also included commissions paid by a third-party entity on the sale of ancillary insurance products that were earned on a pro-rata basis over the life of the underlying contracts, since the Company maintained the control of the contract with the customer and has a contractual performance obligation for these contracts. In calculating such commission and fee income, the Company estimated the amount of consideration that will be received for which a significant reversal of revenue was not probable.

Billing fees and service charges include installment billing fees and other charges by the Insurance Companies that are recognized when billed which is the time at which the related services have been performed and costs incurred.

The Company's revenue from contracts with customers that were in scope of Topic 606 *"Revenue from Contracts with Customers"*, comprise the commissions and fee income line item in its consolidated financial statements. This amount represents amounts that the Insurance Agency received from third-party insurance carriers and from a third-party entity on the sales of ancillary insurance products. Also, in scope, is the billing fees and service charges line item which represents various fees related to insurance contracts issued by the Insurance Companies.

The primary performance obligation of the Insurance Agency in return for the commission income from the third-party insurers was to complete the sale of the policy and deliver the control of the policy to the insurer at the policy effective date. In addition, the Insurance Agency may have provided administrative services to the insurer or the policyholder subsequent to the sale of the policy as needed, including processing of endorsements, collection of premiums, and answering general questions concerning the policyholder's account. The administrative services and the costs to perform such services were deemed immaterial in the context of the contract and to the Company's consolidated financial statements, and hence, such services were not identified as a separate performance obligation and the costs to perform such services were not accrued at the time of the sale of the policy but were expensed as incurred as part of the overall operating expenses.

The total revenue from the sale of a policy was recognized upon the effective date of bound coverage when the sale was complete as all the material aspects of the performance obligation were satisfied and the insurer was deemed to obtain control of the insurance policy at that time. Any commission income considered to be variable is constrained such that the revenue was recognized only to the extent that it is probable that there will not be a significant reversal of that revenue. Any commission income not received when the sale was complete was recognized as commission income receivable, which was included in premiums, fees, and commissions receivable in the Company's consolidated balance sheets. The commission income receivable as of December 31, 2022 was approximately $2.8 million. Due to the sale of the Insurance Agency (Note 17), there was no commission income receivable as of December 31, 2023.

A refund liability was recorded for the expected amount of the commission income that had to be returned to the insurers based on estimated policy cancellations. The refund liability was computed for the entire portfolio of contracts as a practical expedient, rather than for each contract or performance obligation. The estimated policy cancellations and the resulting refund liability were computed using the expected value method based on all relevant information, including historical experience. The refund liability, which is included in other liabilities in the Company's consolidated balance sheets, was $1.5 million at December 31, 2022. Due to the sale of the Insurance Agency (Note 17), there was no refund liability as of December 31, 2023.

The primary performance obligation of the Insurance Agency in return for the fee income from a third-party entity on the sales of ancillary insurance products was to complete the sale of the contract. However, the Insurance Agency maintained the control of the contract with the customer throughout its term providing recurring administrative services to the third-party entity and to the customer subsequent to the sale of the contract, including the monthly billing and collection of premiums. These services were considered separate performance obligations and as a result the fee income was recognized monthly from the third-party entity on a pro-rata basis over the contract terms which were generally for six months, and the costs to perform the required services were recognized as incurred.

The primary performance obligations of the Insurance Companies for the billing fees and service charges related to insurance contracts is completed at the time these services are performed which is also the time at which the amounts are billed and recognized as revenue and all costs have been incurred.

As of December 31, 2023, 2022 and 2021, the Company had no contract assets, contract liabilities, or capitalized costs to obtain or fulfill a contract, associated with revenues from contracts with customers.

Income Taxes

Income taxes are accounted for under the liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date.

A valuation allowance for the deferred taxes is established based upon management's estimate of whether it is more likely than not that the Company would not realize tax benefits in future periods to the full extent available. Changes in the valuation allowance are recognized in income during the period in which the circumstances that cause such a change in management's estimate to occur.

The Company accounts for income tax uncertainties under the provisions of FASB ASC 740, "*Income Taxes."* The Company has recognized no additional liability or reduction in deferred tax assets for unrecognized tax benefits as of December 31, 2023, and 2022. The Company does not believe it is reasonably possible that unrecognized tax benefits would materially change in the next twelve months. Any interest and penalties incurred in connection with income taxes are recorded as a component of the provision for income taxes. The Company is generally not subject to U.S. federal, state, or local income tax examinations by tax authorities for taxable years prior to 2016. These tax years are open due to the creation and utilization of net operating loss carryforwards.

Property and Equipment

Property and equipment are initially recorded at cost. Depreciation is provided over the estimated useful lives of the assets (generally ranging from three to five years) using the straight-line method. Leasehold improvements are amortized over the shorter of the lives of the respective leases or the service lives of the improvements. Repairs and maintenance are charged to expense as incurred.

Deferred Acquisition Costs

Deferred acquisition costs include premium taxes, commissions paid to independent agents, and other variable underwriting and direct sales costs incurred in connection with writing successful new and renewal business. These costs are deferred and amortized over the policy period in which the related premiums are earned, to the extent that such costs are deemed recoverable from future unearned premiums and anticipated investment income. Advertising costs are expensed when incurred and are not a part of deferred acquisition costs. Amortization expense for the years ended December 31, 2023, 2022 and 2021 was $24.4 million, $14.4 million, and $10.0 million, respectively, and is included within operating expenses in the accompanying consolidated statements of operations.

Goodwill and Identifiable Intangible Assets

Goodwill and identifiable intangible assets were initially recorded at their estimated fair values at their dates of acquisition. Identifiable intangible assets with an indefinite life, (trade name and state insurance licenses) are not amortized for financial statement purposes while those with a definite life (policy renewal rights, customer relationships, and software licenses) are amortized in proportion to projected policy expirations or life of the asset. As of December 31, 2023, and 2022, identifiable intangible assets were $1.5 million and $5.9 million, respectively, stated net of accumulated amortization expense of $1.7 million and $6.3 million, respectively. Amortization expense will be $0.1 million over the next three succeeding fiscal years.

The Company performed required annual impairment tests of its goodwill and identifiable intangible assets as of October 1 of each year. In the event that facts and circumstances indicate that goodwill or identifiable intangible assets may be impaired, an interim impairment test would be required. For goodwill impairment analysis purposes, the Company considered the Titan Agencies acquired in 2015 to be a separate reporting unit. All goodwill and identifiable intangible assets associated with the Insurance Agency were charged against the gain on the sale of the Insurance Agency in 2023 (Note 17), in the amount of $28.8 million and $4.0 million, respectively.

The Company follows the accounting guidelines, which allows companies to waive comparing the fair value of goodwill and intangible assets to their carrying amounts in assessing the recoverability of these assets if, based on qualitative factors, it is more likely than not that the fair value of the goodwill and intangible assets is greater than their carrying amounts. Based on the review of the relevant factors, the Company did not indicate any impairment analysis was necessary.

Sale of Insurance Agency Subsidiary

In accordance with ASC 810-10-40-5, in connection with the sale of the Insurance Agency (Note 17), the Company has recognized a net asset from the buyer equal to the fair value of the future net contingent consideration to be received as of the date of the sale. The Company has also elected to recognize any increases in the carrying amount of this asset using the gain contingency guidance in ASC 450-30 and recognize any impairments based on the guidance in ASC 450-20-25-2.

Loss and Loss Adjustment Expense Reserves

Loss and loss adjustment expense reserves are undiscounted and represent case-basis estimates of reported losses and estimates based on certain actuarial assumptions regarding the past experience of reported losses, including an estimate of losses incurred but

not reported. Management believes that the loss and loss adjustment reserves are adequate to cover the ultimate associated liability. However, such estimates may be more or less than the amount ultimately paid when the claims are finally settled.

Evaluation of Going Concern

Conformity with GAAP requires the Company to evaluate whether there are conditions and events that raise substantial doubt about the Company's ability to continue as a going concern within one year after the financial statements are issued. Management's evaluation determined that the Company does not have substantial doubt continuing one year after these consolidated financial statements were issued.

Recent Accounting Pronouncements

Accounting Pronouncements Adopted

As of January 1, 2023, the Company adopted ASU No. 2016-13, *"Financial Instruments – Credit Losses (Topic 326)"* which requires financial assets measured at amortized cost to be presented at the net amount expected to be collected. The allowance for credit losses is based on relevant information, including historical experience, current conditions, and reasonable and supportable forecasts that affect the collectability of the reported amount. The increases and decreases in the credit loss are reflected as a component of net income (loss). The adoption of this pronouncement and the changes in methods used to recognize OTTI had no impact on the 2023 consolidated financial statements.

Accounting Pronouncements Issued But Not Yet Adopted

In December 2023, the FASB issued ASU 2023-09, Income Taxes (Topic 740): Improvements to Income Tax Disclosures, which provides for expanded disclosures primarily related to income taxes paid and the rate reconciliation. The amendments are effective prospectively for annual periods beginning after December 15, 2024, and early adoption and retrospective application are permitted. The Company is currently evaluating the impact of this ASU on its Consolidated Financial Statements.

Supplemental Cash Flow Information

During the year ended December 31, 2023, the Company paid $0.9 million in income taxes. During the years ended December 31, 2022 and 2021, the Company did not collect or pay any income taxes. During the years ended December 31, 2023, 2022 and 2021, the Company paid $3.7 million, $2.0 million, and $1.7 million in interest, respectively.

Basic and Diluted Net Income (Loss) Per Share

Basic net income (loss) per share is computed by dividing net income (loss) available to common stockholders by the weighted average number of common shares, while diluted net income (loss) per share is computed by dividing net income (loss) available to common stockholders by the weighted average number of such common shares and dilutive share equivalents. Dilutive share equivalents may result from the assumed exercise of restricted stock units and are calculated using the treasury stock method.

2. Fair Value

Fair value is the price that would be received upon the sale of an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value measurements are generally based upon observable and unobservable inputs. Observable inputs are based on market data from independent sources, while unobservable inputs reflect the Company's view of market assumptions in the absence of observable market information. All assets and liabilities that are carried at fair value are classified and disclosed in one of the following categories:

Level 1 - Quoted prices in active markets for identical assets or liabilities.

Level 2 - Quoted market prices for similar assets or liabilities in active markets; quoted prices by independent pricing services for identical or similar assets or liabilities in markets that are not active; and valuations, using models or other valuation techniques, that use observable market data. All significant inputs are observable, or derived from observable information in the marketplace, or are supported by observable levels at which transactions are executed in the marketplace.

Level 3 - Instruments that use non-binding broker quotes, observable information from limited private transactions or model driven valuations that do not have observable market data.

NAV - Calculated net asset value ("NAV") based on an ownership interest to which a proportionate share of net assets is attributed.

The Company categorizes valuation methods used in both its identifiable intangible assets initial measurement and impairment tests as Level 3. To determine the fair value of acquired trademarks and trade names, the Company used the relief-from-royalty method, which requires the Company to estimate the future revenue for the related brands, the appropriate royalty rate, and the weighted average cost of capital. To determine the fair value of the acquired policy renewal rights and customer relationships, the Company used an "excess earnings" method that relied on projected future net cash flows and included key assumptions for the customer retention and renewal rates. The data used in these methods was not observable in the market.

Fair Value of Financial Instruments

The carrying values and fair values of certain of the Company's financial instruments were as follows (in thousands).

	December 31, 2023		December 31, 2022	
	Carrying Value	Fair Value	Carrying Value	Fair Value
Assets:				
Cash, cash equivalents, and restricted cash	$ 109,780	$ 109,780	$ 49,072	$ 49,072
Investments in fixed maturities, available-for-sale	192,885	192,885	113,323	113,323
Investment in equity securities	10,660	10,660	9,911	9,911
Other investments	5,639	5,639	4,528	4,528
Liabilities:				
Debentures payable	40,621	31,135	40,575	22,448

The fair values as presented represent the Company's best estimates and may not be substantiated by comparisons to independent markets. The fair value of the debentures payable is categorized as Level 3, since it was based on current market rates offered for debt with similar risks and maturities, an unobservable input categorized as Level 3. Carrying values of certain financial instruments, such as premiums, fees, and commissions receivable, approximate fair value due to the short-term nature of the instruments and are not required to be disclosed. Therefore, the aggregate of the fair values presented in the preceding table does not purport to represent the Company's underlying value.

The following tables present the fair-value measurements for each major category of assets that are measured on a recurring basis (in thousands). Certain other investments are carried at the Company's proportionate share net asset value which approximates fair value.

		Fair Value Measurements Using			
December 31, 2023	Total	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Proportionate Share of Net Assets (NAV)
Fixed maturities, available-for-sale:					
U.S. government and agencies	$ 19,336	$ 19,336	$ —	$ —	$ —
Political subdivisions	2,931	—	2,931	—	—
Revenue and assessment	18,794	—	18,794	—	—
Corporate bonds	77,423	—	77,423	—	—
Asset-backed securities	35,145	—	35,145	—	—
Collateralized mortgage obligations:					
Agency backed	37,036	—	37,036	—	—
Non-agency backed – residential	1,226	—	1,226	—	—
Non-agency backed – commercial	994	—	994	—	—
Total fixed maturities, available-for-sale	192,885	19,336	173,549	—	—
Equity securities:					
Mutual funds	10,660	10,660	—	—	—
Total equity securities	10,660	10,660	—	—	—
Other investments	5,639	—	—	1,089	4,550
Total	$209,184	$ 29,996	$ 173,549	$ 1,089	$ 4,550

December 31, 2022	Total	Fair Value Measurements Using: Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Proportionate Share of Net Assets (NAV)
Fixed maturities, available-for-sale:					
U.S. government and agencies	$ 8,682	$ 8,682	$ —	$ —	$ —
Political subdivisions	3,774	—	3,774	—	—
Revenue and assessment	9,450	—	9,450	—	—
Corporate bonds	35,468	—	35,468	—	—
Asset-backed securities	11,763	—	11,763	—	—
Collateralized mortgage obligations:					
Agency backed	41,951	—	41,951	—	—
Non-agency backed – residential	1,218	—	1,218	—	—
Non-agency backed – commercial	1,017	—	1,017	—	—
Total fixed maturities, available-for-sale	113,323	8,682	104,641	—	—
Equity securities:					
Mutual funds	9,911	9,911	—	—	—
Total equity securities	9,911	9,911	—	—	—
Other investments	4,528	—	—	—	4,528
Total	$ 127,762	$ 18,593	$ 104,641	$ —	$ 4,528

The fair values of the Company's investments are determined by management after taking into consideration available sources of data. All of the portfolio valuations classified as Level 1 or Level 2 in the above tables are priced exclusively by utilizing the services of independent pricing sources using observable market data and are obtained from a single independent pricing service. The Company has not made any adjustments to the prices obtained from the independent pricing source.

The Company has reviewed the pricing techniques and methodologies of the independent pricing service and believes that its policies adequately consider market activity, either based on specific transactions for the security valued or based on modeling of securities with similar credit quality, duration, yield, and structure that were recently traded. The Company monitored security-specific valuation trends and makes inquiries with the pricing service when considered necessary about material changes or the absence of expected changes to understand the underlying factors and inputs and to validate the reasonableness of the pricing. Likewise, the Company reviews the Level 3 valuations to understand the underlying factors and inputs and to validate the reasonableness of the pricing.

3. Investments

The following tables summarize the Company's investments in fixed maturities for the years ended December 31, 2023, and December 31, 2022 (in thousands).

December 31, 2023	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Fixed maturities, available-for-sale:				
U.S. government and agencies	$ 19,298	$ 91	$ (53)	$ 19,336
Political subdivisions	3,047	8	(124)	2,931
Revenue and assessment	18,891	83	(180)	18,794
Corporate bonds	78,098	575	(1,250)	77,423
Asset-backed securities	35,199	168	(222)	35,145
Collateralized mortgage obligations:				
Agency backed	44,188	6	(7,158)	37,036
Non-agency backed – residential	806	467	(47)	1,226
Non-agency backed – commercial	1,017	—	(23)	994
Total fixed maturities, available-for-sale	$ 200,544	$ 1,398	$ (9,057)	$ 192,885

December 31, 2022	Amortized Cost	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Fixed maturities, available-for-sale:				
U.S. government and agencies	$ 8,796	$ 11	$ (125)	$ 8,682
Political subdivisions	4,024	—	(250)	3,774
Revenue and assessment	9,679	5	(234)	9,450
Corporate bonds	37,410	6	(1,948)	35,468
Asset-backed securities	11,965	118	(320)	11,763
Collateralized mortgage obligations:				
Agency backed	49,799	—	(7,848)	41,951
Non-agency backed – residential	815	419	(16)	1,218
Non-agency backed – commercial	1,017	—	—	1,017
Total fixed maturities, available-for-sale	$ 123,505	$ 559	$ (10,741)	$ 113,323

The following table sets forth the scheduled maturities of the Company's fixed maturities based on their fair values (in thousands). Actual maturities may differ from contractual maturities because certain securities may be called or prepaid by the issuers.

December 31, 2023	Securities with Unrealized Gains	Securities with Unrealized Losses	Securities with No Unrealized Gains or Losses	All Fixed Maturity Securities
One year or less	$ 300	$ 16,888	$ —	$ 17,188
After one through five years	61,180	51,879	1,504	114,563
After five through ten years	13,197	6,116	—	19,313
After ten years	751	1,814	—	2,565
No single maturity date	1,087	38,169	—	39,256
	$ 76,515	$ 114,866	$ 1,504	$ 192,885

The fair value and gross unrealized losses of investments in fixed maturities for the years ended December 31, 2023, and 2022, by the length of time that individual securities have been in a continuous unrealized loss position follows (in thousands).

	Less than 12 months		12 months or longer		
December 31, 2023	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses	Total Gross Losses
Fixed maturities, available-for-sale:					
U.S. government and agencies	$ 5,588	$ (12)	$ 4,659	$ (41)	$ (53)
Political subdivisions	—	—	2,415	(124)	(124)
Revenue and assessment	6,360	(59)	3,668	(121)	(180)
Corporate bonds	7,338	(27)	32,984	(1,223)	(1,250)
Asset-backed securities	8,612	(54)	5,073	(168)	(222)
Collateralized mortgage obligations:					
Agency backed	—	—	36,848	(7,158)	(7,158)
Non-agency backed – residential	327	(47)	—	—	(47)
Non-agency backed – commercial	994	(23)	—	—	(23)
Total fixed maturities, available-for-sale	$ 29,219	$ (222)	$ 85,647	$ (8,835)	$ (9,057)

	Less than 12 months		12 months or longer		
December 31, 2022	Fair Value	Gross Unrealized Losses	Fair Value	Gross Unrealized Losses	Total Gross Losses
Fixed maturities, available-for-sale:					
U.S. government and agencies	$ 4,563	$ (125)	$ —	$ —	$ (125)
Political subdivisions	1,358	(33)	2,416	(217)	(250)
Revenue and assessment	7,337	(138)	951	(96)	(234)
Corporate bonds	33,459	(1,879)	979	(69)	(1,948)
Asset-backed securities	10,116	(320)	—	—	(320)
Collateralized mortgage obligations:					
Agency backed	16,972	(1,766)	24,940	(6,082)	(7,848)
Non-agency backed – residential	147	(16)	—	—	(16)
Total fixed maturities, available-for-sale	$ 73,952	$ (4,277)	$ 29,286	$ (6,464)	$(10,741)

The following table reflects the number of fixed maturities with gross unrealized gains and losses. Gross unrealized losses are further segregated by the length of time that individual securities have been in a continuous unrealized loss position.

	Gross Unrealized Losses		
At:	Less than or equal to 12 months	Greater than 12 months	Gross Unrealized Gains
December 31, 2023	46	61	115
December 31, 2022	64	17	17

The following table reflects the fair value and gross unrealized losses of those fixed maturities in a continuous unrealized loss position for greater than 12 months. Gross unrealized losses are further segregated by the percentage of amortized cost (in thousands, except number of securities).

Gross Unrealized Losses at December 31, 2023:	Number of Securities	Fair Value	Gross Unrealized Losses
Less than or equal to 10%	49	$ 58,928	$ (2,363)
Greater than 10%	12	26,719	(6,472)
	61	$ 85,647	$ (8,835)

Gross Unrealized Losses at December 31, 2022:	Number of Securities	Fair Value	Gross Unrealized Losses
Less than or equal to 10%	5	$ 3,557	$ (289)
Greater than 10%	12	25,730	(6,175)
	17	$ 29,287	$ 6,464

The following tables set forth the amount of gross unrealized losses by current severity (as compared to amortized cost) and length of time that individual securities have been in a continuous unrealized loss position (in thousands).

Length of Gross Unrealized Losses at December 31, 2023:	Fair Value of Securities with Gross Unrealized Losses	Gross Unrealized Losses	Severity of Gross Unrealized Losses		
			Less than 5%	5% to 10%	Greater than 10%
Less than or equal to:					
Three months	$ 3,564	$ (26)	$ (16)	$ —	$ (10)
Six months	2,706	(33)	(33)	—	—
Nine months	20,724	(114)	(110)	—	(4)
Twelve months	2,225	(49)	(12)	—	(37)
Greater than twelve months	85,647	(8,826)	(1,129)	(1,234)	(6,463)
Total	$ 114,866	$ (9,048)	$ (1,300)	$ (1,234)	$ (6,514)

Length of Gross Unrealized Losses at December 31, 2022:	Fair Value of Securities with Gross Unrealized Losses	Gross Unrealized Losses	Severity of Gross Unrealized Losses		
			Less than 5%	5% to 10%	Greater than 10%
Less than or equal to:					
Three months	$ 1,177	$ (6)	$ (6)	$ —	$ —
Six months	7,732	(112)	(112)	—	—
Nine months	17,193	(991)	(303)	—	(688)
Twelve months	47,850	(3,168)	(406)	(2,746)	(16)
Greater than twelve months	29,286	(6,464)	—	(289)	(6,175)
Total	$ 103,238	$(10,741)	$ (827)	$ (3,035)	$ (6,879)

Other Investments

Other investments consist of the common stock of an REIT and limited partnership interests in two funds that invest in (i) undervalued international publicly-traded equities and (ii) a pre-identified pool of select buyout private equity funds. These investments have redemption and transfer restrictions. The Company does not intend to sell any of these investments, and it is more likely than not that the Company will not be required to sell them before the expiration of such restrictions. As of December 31, 2023, the Company had unfunded commitments of $1.4 million with three of these investments.

Included in realized gains on investments in 2021 was the sale of our other investment in the common stock of a REIT upon their acquisition by a third party. As a result of their acquisition, the Company received total proceeds of $10.4 million and recognized a realized gain of $6.4 million, of which $0.7 million had previously been recognized as an unrealized gain on this investment.

Restrictions

As of December 31, 2023, fixed maturities and cash equivalents with a fair value and amortized cost of $6.6 million were on deposit with various insurance departments as a requirement of doing business in those states. Cash equivalents with a fair value and amortized cost of $5.5 million were on deposit with other insurance companies as collateral for assumed reinsurance contracts.

Investment Income and Net Realized Gains and Losses

The major categories of investment income follow (in thousands).

	Year Ended December 31,		
	2023	2022	2021
Fixed maturities, available-for-sale	$ 4,874	$ 3,646	$ 2,633
Equity securities	475	396	539
Income (loss) from other investments	773	(171)	859
Cash and cash equivalents	3,069	549	107
Investment expenses	(537)	(525)	(500)
Accretion income	301	—	—
	$ 8,654	$ 3,895	$ 3,638

The components of net realized and unrealized gains (losses) on investments follow (in thousands).

	Year Ended December 31,		
	2023	2022	2021
Unrealized gain (loss) on equity securities	$ 1,146	$ (1,677)	$ 728
Gain on foreclosed real estate held for sale	—	—	666
Realized gains	511	1,163	6,405
Realized losses	(11)	(557)	(262)
	$ 1,646	$ (1,071)	$ 7,537

Realized gains and losses on sales and redemptions are computed based on specific identification.

Other-Than-Temporary Impairment

The Company separates OTTI into the following two components: (i) the amount related to credit losses, which is recognized in the consolidated statement of operations and (ii) the amount related to all other factors, which is recorded in other comprehensive income (loss). The credit-related portion of an OTTI is measured by comparing a security's amortized cost to the present value of its current expected cash flows discounted at its effective yield prior to the impairment charge.

The determination of whether unrealized losses are "other-than-temporary" requires judgment based on subjective as well as objective factors. The Company routinely monitors its investment portfolio for changes in fair value that might indicate potential impairments and performs detailed reviews on such securities. Changes in fair value are evaluated to determine the extent to which such changes are attributable to (i) fundamental factors specific to the issuer or (ii) market-related factors such as interest rates or sector declines.

Securities with declines attributable to issuer-specific fundamentals are reviewed to identify all available evidence to estimate the potential for impairment. Resources used include agency ratings and historical financial data included in filings with the SEC for corporate bonds and performance data regarding the underlying loans for CMOs. Securities with declines attributable solely to market or sector declines where the Company does not intend to sell the security and it is more likely than not that the Company will not be required to sell the security before the full recovery of its amortized cost basis are not deemed to be other-than-temporarily impaired.

The issuer-specific factors considered in reaching the conclusion that securities with declines are not other-than-temporary include (i) the extent and duration of the decline in fair value, including the duration of any significant decline in value, (ii) whether the security is current as to payments of principal and interest, (iii) a valuation of any underlying collateral, (iv) current and future conditions and trends for both the business and its industry, (v) changes in cash flow assumptions for CMOs and (vi) rating agency actions. Based on these factors, the Company makes a determination as to the probability of recovering principal and interest on the security.

The Company recognized OTTI charges in net income (loss) of $183 thousand relating to three non-agency backed CMOs for the year ended December 31, 2022. There were no OTTI charges in 2023 and 2021.

The following is a progression of the credit-related portion of OTTI on investments owned as of December 31, 2023, 2022, and 2021 (in thousands).

	Year Ended December 31,		
	2023	2022	2021
Beginning balance	$ (1,589)	$ (1,443)	$ (1,728)
Additional credit impairments on previously impaired securities	—	(183)	—
Reductions for securities deemed worthless and realized	—	37	285
	$ (1,589)	$ (1,589)	$ (1,443)

The Company believes that the remaining securities having unrealized losses as of December 31, 2023, were impacted by changes in interest rates and are not other-than-temporarily impaired. The Company also does not intend to sell any of these securities, and it is more likely than not that the Company will not be required to sell any of these securities before the recovery of their amortized cost basis.

4. Reinsurance Premiums

Total premiums written and earned are summarized as follows (in thousands).

	Year Ended December 31,					
	2023		2022		2021	
	Written	Earned	Written	Earned	Written	Earned
Direct	$ 447,987	$ 390,632	$ 268,581	$ 229,435	$ 206,313	$ 207,252
Assumed	9,087	6,539	1,048	1,094	1,637	1,791
Total	$ 457,074	$ 397,171	$ 269,629	$ 230,529	$ 207,950	$ 209,043

Assumed business represents private-passenger non-standard automobile insurance premiums in Texas written through a program with a county mutual insurance company and assumed by the Company through 100% quota-share reinsurance.

5. Stock-Based Compensation Plans

Employee Stock-Based Incentive Plan

The Company has issued restricted stock units to employees and common stock to directors under its Amended and Restated First Acceptance Corporation 2002 Long Term Incentive Plan (the "Plan") and accounts for such issuances in accordance with FASB ASC 718, "*Compensation – Stock Compensation"*. As of December 31, 2023, there were 4,426,354 shares remaining available for issuance under the Plan.

The following table summarizes restricted stock units that the Compensation Committee of the Board of Directors of the Company awarded to executive officers (in thousands, except weighted average information). Such restricted stock units typically vest with an equal number of shares of common stock deliverable upon the third anniversary of the dates of grants. Compensation expense related to the units was calculated based upon the closing market prices of the common stock on the dates of grants and is recorded on

a straight-line basis over the vesting period. Expected future compensation related to the issuance of restricted stock units is $2.1 million, which will be amortized through December 2026.

	Number of Restricted Stock Units	Weighted Average Grant-Date Fair Value per Share
Non-vested at December 31, 2020	584	$ 0.84
Granted	155	1.99
Vested	(182)	1.06
Forfeited	(34)	1.07
Non-vested at December 31, 2021	523	1.09
Granted	165	2.08
Vested	(127)	1.18
Forfeited	(40)	1.73
Non-vested at December 31, 2022	521	1.32
Granted	1,281	1.70
Vested	(240)	0.74
Forfeited	(113)	0.89
Non-vested at December 31, 2023	1,449	$ 1.79

Employee Stock Purchase Plan

The Company's Board of Directors adopted the First Acceptance Corporation Employee Stock Purchase Plan ("ESPP") whereby eligible employees may purchase shares of the Company's common stock at a price equal to the lower of the closing market price on the first or last trading day of a six-month period. ESPP participants can authorize payroll deductions, administered through an independent plan custodian, of up to 15% of their salary to purchase semi-annually (June 30 and December 31) up to $25,000 of the Company's common stock during each calendar year. The Company's Board of Directors may at any time amend the ESPP in any respect, including termination of the ESPP, without notice to the employees. The Company has reserved 1,300,000 shares of common stock for issuance under the ESPP and as of December 31, 2023, 286,074 shares remain available for issuance. Employees purchased approximately 149,000, 110,000, and 84,000 shares during the years ended December 31, 2023, 2022 and 2021, respectively. Compensation expense attributable to subscriptions to purchase shares under the ESPP was $25 thousand, $18 thousand, and $27 thousand for the years ended December 31, 2023, 2022 and 2021, respectively.

6. Employee Benefit Plan

The Company sponsors a defined contribution retirement plan ("401k Plan") under Section 401(k) of the Internal Revenue Code. The 401k Plan covers substantially all employees who meet specified service requirements. Under the 401k Plan, the Company may, at its discretion, matches 100% of the first 3% of an employee's salary plus 50% of the next 2% up to the maximum allowed by the Internal Revenue Code. The Company's contributions to the 401k Plan for the years ended December 31, 2023, 2022 and 2021 were $1.7 million, $1.8 million, and $1.6 million, respectively, and are included within operating expenses in the accompanying consolidated statements of operations.

7. Property and Equipment

The components of property and equipment are as follows (in thousands).

	Year Ended December 31,	
	2023	2022
Furniture and equipment	$ 15,049	$ 21,816
Leasehold improvements	3,131	8,305
	18,180	30,121
Less: Accumulated depreciation	(15,288)	(25,290)
Property and equipment, net	$ 2,892	$ 4,831

Depreciation expense related to property and equipment was $2.2 million, $2.5 million, and $1.5 million for the years ended December 31, 2023, 2022 and 2021, respectively.

8. Lease and Service Contract Commitments

The Company determines if an arrangement is a lease at inception. Operating leases are included in operating lease right-of-use ("ROU") assets and lease liabilities on our consolidated balance sheets. The Company does not have any finance leases.

ROU assets represent the Company's right to use an underlying asset for the lease term and lease liabilities represent the Company's obligation to make lease payments arising from the lease. Operating lease ROU assets and liabilities are recognized at commencement date based on the present value of lease payments over the lease term. As the Company's leases do not provide an implicit rate, the Company uses its incremental borrowing rate based on the information available at commencement date in determining the present value of lease payments. Lease terms may include options to extend the lease when it is reasonably certain that the option will be exercised. Lease expense for lease payments is recognized on a straight-line basis over the lease term.

The Company has operating leases, which include retail stores (sold effective December 1, 2023), corporate offices, and certain equipment. The leases have remaining lease terms of five years to nine years. Operating lease cost and cash flows for each of the years ended December 31, 2023 were $8.7 million and $8.9 million, respectively. Both operating lease cost and cash flows for each of the years ended December 31, 2022 and 2021 were $8.2 million, and $7.4 million, respectively.

Supplemental balance sheet information related to leases was as follows (in thousands):

	Year Ended December 31,	
	2023	2022
Operating lease right-of-use assets	$ 5,020	$ 14,520
Operating lease liabilities	5,401	14,724
Weighted average remaining lease term	3.90 years	4.36 years
Weighted average discount rate	6.8%	6.5%

Maturities of operating lease liabilities were as follows as of December 31, 2023 (in thousands):

For the Year Ended December 31,	Amount
2024	$ 970
2025	979
2026	989
2027	1,000
2028	784
Thereafter	2,038
Total lease payments	$ 6,760
Less imputed interest	(1,359)
Total	$ 5,401

Note 9. Losses and Loss Adjustment Expenses Incurred and Paid

The Company underwrites primarily a single product in the form of a non-standard personal automobile policy. Although this product can vary in terms of its coverages (liability and physical damage), disaggregation by these coverages is not considered meaningful due to the relative immateriality of the physical damage component which is only approximately 6% of the ending liability

for unpaid losses and loss adjustment expenses ("LAE"). Additionally, the amount of renters' coverage sold as an optional product is likewise immaterial. Information regarding the reserve for unpaid losses and LAE is as follows (in thousands).

	Year Ended December 31,		
	2023	2022	2021
Liability for unpaid losses and LAE at beginning of year, gross	$ 107,100	$ 93,278	$ 91,788
Reinsurance balances receivable	(97)	(90)	(254)
Liability for unpaid losses and LAE at beginning of year, net	107,003	93,188	91,534
Add: Provision for losses and LAE:			
Current year	274,747	176,444	156,409
Prior year	1,714	4,816	(1,560)
Net losses and LAE incurred	276,461	181,260	154,849
Less: Losses and LAE paid:			
Current year	141,424	101,118	95,709
Prior year	76,696	66,327	57,486
Net losses and LAE paid	218,120	167,445	153,195
Liability for unpaid losses and LAE at end of year, net	165,344	107,003	93,188
Reinsurance balances receivable	2	97	90
Liability for unpaid losses and LAE at end of year, gross	$ 165,346	$ 107,100	$ 93,278

The unfavorable development of $1.7 million for the year ending December 31, 2023 was primarily attributable to higher-than-expected collision losses in the 2022 accident year.

The unfavorable development of $4.8 million for the year ending December 31, 2022 was primarily attributable to higher-than-expected loss severity on third-party physical damage losses for the fourth quarter of 2021. This increased severity was primarily due to the continuing inflationary and supply chain economic conditions that led to increased used car prices and higher vehicle repair costs.

The favorable development of $1.6 million for the year ended December 31, 2021 was primarily attributable to improved bodily injury severity in recent accident periods.

The information that follows about incurred and paid claims development for the 2014 to 2022 years, and the average annual percentage payout of incurred claims by age as of December 31, 2023, is presented as required unaudited supplementary information.

Incurred losses and loss adjustment expenses, net of reinsurance, by accident year are as follows (in thousands).

Incurred losses and loss adjustment expenses, net of reinsurance
For the years ended December 31,
(Unaudited)

Accident year	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
2014	$ 166,179	$ 165,991	$ 171,827	$ 171,372	$ 170,996	$ 170,962	$ 171,056	$ 171,150	$ 171,282	$ 171,292
2015		218,186	240,428	240,389	239,181	239,896	240,179	240,378	240,478	240,614
2016			278,366	275,768	272,000	269,026	269,159	270,515	270,497	271,176
2017				223,066	212,134	206,784	206,659	207,193	207,213	207,053
2018					196,023	179,060	178,172	179,381	179,394	179,539
2019						170,434	166,600	165,052	164,781	164,251
2020							138,014	134,543	133,602	132,672
2021								156,437	162,147	160,487
2022									176,444	180,431
2023										274,747
									Total	$ 1,982,262

Cumulative paid losses and loss adjustment expenses, net of reinsurance, by accident year are as follows (in thousands).

Cumulative paid losses and loss adjustment expenses, net of reinsurance
For the years ended December 31,
(Unaudited)

Accident year	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
2014	$ 98,437	$ 144,943	$ 162,702	$ 167,973	$ 169,807	$ 170,559	$ 170,913	$ 171,077	$ 171,274	$ 171,294
2015		129,216	208,533	227,388	234,264	237,665	239,191	239,951	240,395	240,569
2016			163,792	238,657	258,190	264,474	267,019	268,912	270,045	271,025
2017				120,673	183,609	197,573	202,766	205,280	206,438	206,844
2018					105,877	157,360	169,662	174,891	177,592	178,860
2019						99,966	147,341	157,245	161,272	162,851
2020							81,479	118,400	126,511	129,669
2021								93,715	144,198	153,327
2022									101,118	161,069
2023										141,424
									Total	$1,816,930
									All outstanding reserves for unpaid losses and LAE prior to 2014, net of reinsurance	14
									Total outstanding reserves for unpaid losses and LAE, net of reinsurance	$ 165,346

The total of incurred but not reported liabilities plus expected development on reported claims and the cumulative number of reported claims are as follows (dollars in thousands, except for cumulative number of reported claims). The Company uses claim counts to measure claim frequency information. Total reported claims on a cumulative basis include both open claims and claims that have been closed with or without payment, with multi-individual occurrences counted as separate claims. Open claims with only LAE reserves are excluded from the cumulative number of reported claims below.

Accident year	Incurred losses and LAE, net of reinsurance	Total of incurred but not reported liabilities plus expected development on reported claims	Cumulative number of reported claims
2014	$ 171,292	$ (2)	85,395
2015	240,614	(15)	110,069
2016	271,176	4	118,636
2017	207,053	72	89,823
2018	179,539	302	78,424
2019	164,251	985	68,863
2020	132,672	2,028	54,542
2021	160,487	4,823	61,232
2022	180,431	13,520	62,463
2023	274,747	86,360	92,846

The average historical annual percentage payout of incurred losses by age, net of reinsurance is as follows. The amounts reflected below represent the average length of time between the occurrence of a loss and its payment.

	(Unaudited)									
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Non-standard auto	58.5%	29.2%	7.3%	2.7%	1.2%	0.6%	0.3%	0.1%	0.1%	0.0%

10. Debentures Payable

In June 2007, First Acceptance Statutory Trust I ("FAST I"), an unconsolidated subsidiary trust of the Company, issued 40,000 shares of preferred securities at $1,000 per share to outside investors and 1,240 shares of common securities to the Company, also at $1,000 per share. FAST I used the proceeds from the sale of the preferred securities to purchase $41.2 million of junior subordinated debentures from the Company. The sole assets of FAST I are $41.2 million of junior subordinated debentures issued by the Company. The debentures will mature on July 30, 2037 and are currently redeemable by the Company in whole or in part and the preferred

securities are callable. The debentures paid a fixed rate of 9.277% until July 30, 2012, after which the rate became variable (Currently three-Month CME term SOFR plus the spread adjustment of 0.2161 percent, resetting quarterly). The interest rate related to the debentures ranged from 8.165% to 9.402% during 2023. In January 2024, the interest rate reset to 9.329% through April 2024.

The obligations of the Company under the junior subordinated debentures represent full and unconditional guarantees by the Company of FAST I's obligations for the preferred securities. Dividends on the preferred securities are cumulative, payable quarterly in arrears and are deferrable at the Company's option for up to five years. The dividends on these securities, which have not been deferred, are the same as the interest on the debentures. The Company cannot pay dividends on its common stock during such deferments.

The debentures are classified as debentures payable in the Company's consolidated balance sheets and the interest paid on these debentures is classified as interest expense in the consolidated statements of operations. As of December 31, 2023, the unamortized debt discount and issuance costs of $0.6 million are being amortized to interest expense over the term of the debentures.

On March 15, 2022, the Adjustable Interest Rate (LIBOR) Act was signed into law. Under this Act, on the first London banking day after June 30, 2023, three month CME term SOFR (as defined in the final regulations), as adjusted to the spread adjustment (0.26161 percent), became the benchmark replacement for the Three-Month LIBOR. This change was accounted for as a continuation of the current arrangement.

As of December 31, 2023, the Company was in compliance with the covenants related to the debentures payable. Such borrowing is not an obligation of the Company's regulated insurance company subsidiaries. The Company believes that it has sufficient liquidity outside the Company's regulated insurance company subsidiaries to meet its current obligations in the foreseeable future, including the payment of interest on this borrowing.

11. Income Taxes

The provision (benefit) for income taxes consisted of the following (in thousands).

	Year Ended December 31,		
	2023	2022	2021
Federal:			
Current	$ 5,627	$ —	$ —
Deferred	15,855	(4,673)	(959)
	21,482	(4,673)	(959)
State:			
Current	1,280	(26)	68
Deferred	2,359	154	(462)
	3,639	128	(394)
	$ 25,121	$ (4,545)	$ (1,353)

The provision (benefit) for income taxes differs from the amounts computed by applying the statutory federal corporate tax rate of 21% for the years ended December 31, 2023, 2022 and 2021 to income (loss) before income taxes as a result of the following (in thousands).

	Year Ended December 31,		
	2023	2021	2021
Provision (benefit) for income taxes at statutory rate	$ 20,798	$ (4,627)	$ (542)
Tax effect of:			
Tax-exempt investment income	(19)	(32)	(56)
Change in the valuation allowance for deferred tax assets allocated to federal income taxes	—	31	(307)
Stock-based compensation	(38)	(16)	(38)
State income taxes, net of federal income tax benefit and state valuation allowance	3,369	133	(409)
Section 453A interest on installment sale of insurance agency	996	—	—
Other items	15	(34)	(1)
	$ 25,121	$ (4,545)	$ (1,353)

The tax effects of temporary differences that give rise to the net deferred tax assets and liabilities are presented below (in thousands).

	Year Ended December 31,	
	2023	2022
Deferred tax assets:		
Net operating loss carryforwards	$ 1,732	$ 13,123
Stock-based compensation	110	95
Unearned premiums and loss and loss adjustment expense reserves	8,174	5,270
Accrued expenses and other nondeductible items	1,277	1,088
Net unrealized change on investments in fixed maturities	1,608	2,138
Operating lease liabilities	1,134	3,092
Other	1,035	1,507
	15,070	26,313
Deferred tax liabilities:		
Deferred acquisition costs	(1,985)	(1,483)
Identifiable intangible assets	(375)	(1,200)
Loss reserve discounting transition adjustment	(170)	(255)
Net unrealized change on investments in equity securities	(322)	(82)
Goodwill and identifiable intangible assets	—	(3,132)
Operating lease right-of-use assets	(1,054)	(3,049)
Deferred gain on installment sale of insurance agency	(9,788)	—
Other	(3,813)	(253)
	(17,507)	(9,454)
Total net deferred tax (liability) asset	(2,437)	16,859
Less: Valuation allowance	(2,121)	(2,682)
Net deferred tax (liability) asset	$ (4,558)	$ 14,177

ASC Topic 740, *Income Taxes*, establishes procedures to measure deferred tax assets and liabilities and assess whether a valuation allowance relative to existing deferred tax assets is necessary. Management assesses the likelihood of realization of the Company's deferred tax assets and the need for a valuation allowance with respect to those assets based on the weight of available positive and negative evidence. As of December 31, 2023 and December 31, 2022, management determined that a valuation allowance of $2.1 million and $2.7 million, respectively, was necessary relative to certain state taxes net operating loss carryforwards and OTTI which are not expected to be realized. Management also determined at December 31, 2023 and December 31, 2022 that it is more likely than not that the results of future operations will generate sufficient taxable income to realize the remaining deferred tax assets not covered by this valuation allowance.

The deferred tax asset ("DTA") valuation allowance may be adjusted in future periods if management determines that it is more likely than not that some portion or all of the DTA will not be realized or previously recognized valuation allowance should be released. In the event the DTA valuation allowance is adjusted, the Company would record an income tax expense for the adjustment.

12. Net Income (Loss) Per Share

Basic EPS are computed using the weighted average number of shares outstanding. Diluted EPS are computed using the weighted average number of shares outstanding adjusted for the incremental shares attributed to outstanding restricted stock units.

The following table sets forth the computation of basic and diluted net income (loss) per share (in thousands, except per share data).

	Year Ended December 31,		
	2023	2022	2021
Net income (loss)	$ 73,912	$ (17,488)	$ (1,228)
Weighted average common basic shares	38,086	37,795	38,151
Effect of dilutive securities	323	—	—
Weighted average common dilutive shares	38,409	37,795	38,151
Basic net income (loss) per share	$ 1.94	$ (0.46)	$ (0.03)
Diluted net income (loss) per share	$ 1.92	$ (0.46)	$ (0.03)

For the year ended December 31, 2023 the computations of diluted net income per share included all outstanding financial instruments with a right to purchase or convert into common stock.

For the years ended December 31, 2022 and 2021, the computation of diluted net loss per share did not include the dilutive effect of 246 thousand and 292 thousand shares from restricted stock units since their inclusion would have been anti-dilutive.

13. Concentrations of Credit Risk

As of December 31, 2023, the Company had certain concentrations of credit risk with several financial institutions in the form of cash, cash equivalents, and restricted cash, which amounted to $109.8 million. For purposes of evaluating credit risk, the stability of financial institutions conducting business with the Company and the amount of available Federal Deposit Insurance Corporation insurance is periodically reviewed. If the financial institutions failed to completely perform under terms of the financial instruments, the exposure for credit loss would be the amount of the financial instruments less amounts covered by regulatory insurance.

The Company primarily transacts business directly with its policyholders, and to a lesser extent, through independently owned insurance agencies who write non-standard personal automobile insurance policies on behalf of the Company. Direct policyholders make payments directly to the Company. Balances due from policyholders are generally secured by the related unearned premium. The Company requires a down payment at the time the policy is originated, and subsequent scheduled payments are monitored in order to prevent the Company from providing coverage beyond the date for which payment has been received. If subsequent payments are not made timely, the policy is generally canceled at no loss to the Company. Policyholders whose premiums are written through the independent agencies make their payments to these agencies that in turn remit these payments to the Company. Balances due to the Company resulting from premium payments made to these agencies are unsecured.

At December 31, 2023, the Company had total gross consideration receivable of $65.0 million from the sale of the Insurance Agency, of which $35.0 million is held in escrow (Note 17).

14. Litigation

The Company is named as a defendant in various lawsuits, arising in the ordinary course of business, generally relating to its insurance operations. All legal actions relating to claims made under insurance policies are considered by the Company in establishing its loss and loss adjustment expense reserves. The Company also faces lawsuits from time to time that seek damages beyond policy limits, commonly known as bad faith claims, as well as class action and individual lawsuits that involve issues arising in the course of the Company's business. The Company continually evaluates potential liabilities and reserves for litigation of these types using the criteria established by FASB ASC 450, "*Contingencies"* ("FASB ASC 450"). Pursuant to FASB ASC 450, reserves for a loss may only be recognized if the likelihood of occurrence is probable and the amount can be reasonably estimated. If a loss, while not probable, is judged to be reasonably possible, management will disclose, if it can be estimated, a possible range of losses or state that

an estimate cannot be made. Management evaluates each legal action and records reserves for losses as warranted by establishing a reserve in its consolidated balance sheets in loss and loss adjustment expense reserves for bad faith claims and in other liabilities for other lawsuits. Amounts incurred are recorded in the Company's consolidated statements of operations in losses and LAE for bad faith claims and in operating expenses for other lawsuits unless otherwise disclosed.

15. Statutory Financial Information and Accounting Policies

The Company has three insurance company subsidiaries that are organized and domiciled under the insurance statutes of Texas, Georgia, and Tennessee. The insurance company subsidiaries operate under licenses issued by various state insurance authorities. Such licenses may be of perpetual duration or periodically renewable, provided the insurance company subsidiaries continue to meet applicable regulatory requirements.

The statutory-basis financial statements of the Insurance Companies are prepared in accordance with accounting practices prescribed or permitted by the Department of Insurance in each respective state of domicile. Each state of domicile requires that insurance companies domiciled in the state prepare their statutory-basis financial statements in accordance with the National Association of Insurance Commissioners *Accounting Practices and Procedures Manual* subject to any deviations prescribed or permitted by the insurance commissioner in each state of domicile.

As of December 31, 2023, and 2022, on a consolidated statutory basis, the capital and surplus of the Insurance Companies was $121.0 million and $61.8 million, respectively. For the years ended December 31, 2023, 2022 and 2021, consolidated statutory net income (loss) of the Insurance Companies was $14.9 million, $(19.5) million, and $1.6 million, respectively.

The maximum amount of dividends which can be paid within a 12-month period by the lead insurance company, First Acceptance Insurance Company, Inc. ("FAIC"), to the Company, without the prior approval of the Texas insurance commissioner, is limited to the greater of 10% of statutory capital and surplus as of December 31st of the next preceding year or net income for the year. In addition, dividends may only be paid from unassigned surplus and an insurance company's remaining surplus must be both reasonable in relation to its outstanding liabilities and adequate to meet its financial needs. The dividend limitation for FAIC in 2024 is $12.1 million.

The National Association of Insurance Commissioners ("NAIC") Model Act for risk-based capital provides formulas to determine each December 31 on an annual basis the amount of statutory capital and surplus that an insurance company needs to ensure that it has an acceptable expectation of not becoming financially impaired. Failure to meet applicable minimum risk-based capital requirements could subject our insurance company subsidiaries to further examination or corrective action imposed by state regulators, including limitations on their writing of additional business, state supervision or even liquidation. Risk-based capital calculations are only made as of each December 31, and the three insurance company subsidiaries were each above the minimum regulatory company action levels as of December 31, 2023. Failure to maintain an adequate RBC could subject the Insurance Companies to regulatory action and could restrict the payment of dividends. There are also statutory guidelines that suggest that on an annual calendar year basis an insurance company should not exceed a ratio of net premiums written to statutory capital and surplus of 3-to-1. For the year ended December 31, 2023, each insurance company subsidiary was within this guideline.

16. Related Parties

The Company operates under standard agreements for Treasury and Custodial Services with a bank indirectly owned 24% by Gerald J. Ford, the Company's controlling stockholder. The fees under these agreements for the years ended December 31, 2023, 2022 and 2021 were $141 thousand, $131 thousand, and $119 thousand, respectively.

17. Sale of Insurance Agency Subsidiary

On December 1, 2023, the Company entered into a securities purchase agreement with the buyer to sell 100% of its issued and outstanding shares of capital stock of its' wholly-owned subsidiary, the Insurance Agency, for net cash consideration of up to $120 million which included $55 million paid at closing and $20 million held in escrow which will be released monthly from March 2024 through December 2024. The Company is eligible to receive additional contingent consideration of $15 million (held in escrow), $10 million, and $20 million on December 1, 2024, 2025 and 2026, respectively, based upon achievement of certain annual premium production targets.

The Company has recognized a gain of $73.0 million on this sale, which includes future contingent consideration of $38.9 million, recorded at fair value, utilizing a discounted cash flow approach.

The purchase agreement provides that the Company would receive its additional contingent consideration in its entirety should the buyer fail to submit applications within the applicable underwriting guidelines of the Insurance Companies, provided that the Company has not breached any of its agreements with the buyer. The agreement also provides that the Company maintain $100 million of capital and surplus in the Insurance Companies through December 31, 2026. As of December 31, 2023 and March 4, 2023, the Company is not in breach of contract.

The Insurance Agency was the retail sales agency operation of the Company, and principally sold non-standard automobile insurance and related products through employee-agents operating from 288 leased retail locations in 13 states. The insurance sold by the Insurance Agency was underwritten and serviced by the Insurance Companies and through third-party carriers for which received a commission. The purchase agreement provides that, effective December 1, 2023, the buyer, will operate as an independent agent for the Insurance Companies' non-standard automobile insurance products written through the Insurance Agency. Following this transaction, the Insurance Companies currently sells non-standard personal automobile insurance written solely through independent agents, including the buye

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Stockholder of
First Acceptance Corporation

Opinion

We have audited the consolidated financial statements of First Acceptance Corporation (the Company), which comprise the consolidated balance sheets as of December 31, 2023 and 2022, and the related consolidated statements of operations, changes in stockholder's equity, and cash flows for the three-year period ended December 31, 2023 and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2023 and 2022, and the results of its operations and its cash flows for the three-year period ended December 31, 2023 in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for one year from the date the consolidated financial statements are available to be issued.

(Continued)

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the claims development information for periods prior to 2022 and average annual percentage payout of incurred claims information, included within Note 9, be presented to supplement the basic consolidated financial statements. Such information is the responsibility of management and, although not a part of the basic consolidated financial statements, is required by the Financial Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic consolidated financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic consolidated financial statements, and other knowledge we obtained during our audit of the basic consolidated financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

(Continued)

Other Information

Management is responsible for the other information included in the management's discussion and analysis. The other information comprises the information included in the management's discussion and analysis but does not include the consolidated financial statements and our auditor's report thereon. Our opinion on the consolidated financial statements does not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the consolidated financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Crowe LLP

Crowe LLP

West Hartford, Connecticut
March 4, 2024

Management's Discussion and Analysis of Financial Condition and Results of Operations

The following discussion should be read in conjunction with our consolidated financial statements and accompanying notes included in this report. This discussion contains forward-looking statements that involve risks and uncertainties. Our actual results could differ materially from those anticipated in these forward-looking statements as a result of various factors, including those discussed below and elsewhere in this report, particularly under the caption "Risk Factors."

Forward-Looking Statements

This report contains forward-looking statements. All statements made in this report, other than statements of historical fact, are forward-looking statements. You can identify these statements from our use of the words "may," "should," "could," "potential," "continue," "plan," "forecast," "estimate," "project," "believe," "intent," "anticipate," "expect," "target," "is likely," "will," or the negative of these terms and similar expressions. These forward-looking statements may include, among other things, statements and assumptions relating to:

- the accuracy and adequacy of our loss reserving methodologies;
- income (loss), income (loss) per share and other financial performance measures;
- the anticipated effects on our results of operations or financial condition from recent and expected economic developments;
- the financial condition of, and other issues relating to the strength of and liquidity available to, issuers of securities held in our investment portfolio;
- and our business and growth strategies.

We believe that our expectations are based on reasonable assumptions. However, these forward-looking statements involve known and unknown risks, uncertainties and other important factors that could cause our actual results, performance or achievements, or industry results to differ materially from our expectations of future results, performance or achievements expressed or implied by these forward-looking statements. In addition, our past results of operations do not necessarily indicate our future results. We discuss these and other uncertainties in the "Risk Factors" section, as well as other sections, of this report.

You should not place undue reliance on any forward-looking statements. These statements speak only as of the date of this report. Except as otherwise required by applicable laws, we undertake no obligation to publicly update or revise any forward-looking statements or the risk factors described in this report, whether as a result of new information, future events, changed circumstances or any other reason after the date of this report.

General

Through December 1, 2023. we owned and operated "Acceptance Insurance," an insurance agency headquartered in Nashville, Tennessee. We operated under an "Agency Model" and sold insurance and related products underwritten and serviced by our own insurance companies, known as the First Acceptance Insurance Group, ("Acceptance business") and through third-party carriers for which we received a commission ("3PC business").

Acceptance Insurance primarily sold non-standard personal automobile insurance through our own insurance companies and third-party carriers. Non-standard personal automobile insurance is sought after by individuals because of their inability or unwillingness to obtain standard insurance coverage due to various factors including their payment preference, failure to have maintained continuous insurance coverage, or their driving record. We also offered a variety of other commissionable third-party products such as roadside assistance and in most states, we also sold (and continue to sell) an insurance product for renters that we underwrite.

Through December 1, 2023, Acceptance Insurance leased and operated 288 retail locations staffed with employee-agents. In addition to these retail locations, we previously completed sales over the phone through employee-agents in our call center or over the internet through our consumer-based website and mobile platform.

Effective with the sale of Acceptance Insurance, the Company has changed the primary distribution of its premiums written from the fixed cost of Company-operated retail locations staffed by employee-agents to the variable cost of a new independent agency relationship with the buyer. Through a production agreement with the buyer, the source of the premiums written through the former retail channel will continue in the future through this new independent agent relationship, in addition to anticipated production through other existing retail locations of the buyer. The buyer is eligible to receive contingent bonus commission payments of $3.3 million on each of February 1, 2025, 2026 and 2027, based on annual production targets. The Company, however, will no longer receive commission and fee income from the sale of insurance policies from third party carriers through its former retail locations.

Subsequent to December 1, 2023, we now solely offer our own underwritten insurance policies through independent agents in 15 states, and we are also licensed to write insurance in 11 other states that are not currently utilized.

For the year ended December 31, 2023, 25% of insurance company operating revenues resulted from insurance policies produced by a single independent agent who is engaged in a technology driven method of delivering insurance through a web and mobile site application. In 2024, it is anticipated that the buyer of Acceptance Insurance will produce the majority of insurance company operating revenues.

Sale of Insurance Agency Subsidiary

On December 1, 2023, the Company sold its wholly owned subsidiary, Acceptance Insurance Agency of Tennessee, Inc. ("the Insurance Agency") for cash consideration of up to $120.0 million which included $55 million paid at closing and $20.0 million held in escrow which will be released monthly from March 2024 through December 2024. The Company is eligible to receive additional contingent consideration of $15.0 million, $10.0 million, and $20.0 million, on December 1, 2024, 2025 and 2026, respectively, based upon achievement of certain annual premium production targets.

The Company has recognized a gain of $73.0 million on this sale, which includes future contingent consideration of $38.9 million, recorded at fair value, utilizing a discounted cash flow approach.

The purchase agreement provides that the Company would receive its additional contingent consideration in its entirety should the buyer fail to submit applications within the applicable underwriting guidelines of the Company, provided that the Company has not breached any of its agreements with the buyer. The agreement also provides that the Company will maintain $100 million of capital and surplus in the insurance companies through December 31, 2026.

The Insurance Agency, the Company's retail sales agency operations subsidiary, principally sold non-standard automobile insurance and related products through employee-agents operating from 288 leased retail locations in 13 states. The insurance sold by the Insurance Agency was underwritten and serviced by our insurance companies and through third-party carriers for which it received a commission. The purchase agreement provides that, effective December 1, 2023, the buyer, will operate as an independent agent for our insurance companies' non-standard automobile insurance products written through the Insurance Agency. Following this transaction, our insurance companies will sell non-standard personal automobile insurance written solely through independent agents, including the buyer.

Consolidated Results of Operations

Overview

Our insurance operations generated revenues from selling non-standard personal automobile insurance products and related products. We currently conduct our servicing and underwriting operations in 15 states through three insurance company subsidiaries: First Acceptance Insurance Company, Inc., First Acceptance Insurance Company of Georgia, Inc. and First Acceptance Insurance Company of Tennessee, Inc., and through December 1, 2023, as an insurance agency through Acceptance Insurance Agency of Tennessee, Inc ("the Insurance Agency"). Our revenues were primarily generated from:

- premiums earned, including policy and renewal fees, from sales of policies written and assumed by our insurance company subsidiaries;
- commission and fee income, including agency fees and commissions and fees for other ancillary products and policies sold on behalf of third-party insurance carriers (through December 1, 2023);
- billing fees and service charges on policies written and assumed by our insurance company subsidiaries; and
- investment income earned on the invested assets of the insurance company subsidiaries.

The following table presents premiums earned by state (in thousands). Premiums earned are presented in the state in which the underlying insured risk of the related Acceptance business is located.

	Year Ended December 31,		
	2023	2022	2021
Georgia	$ 112,098	$ 57,671	$ 53,813
Florida	96,657	41,699	32,815
Alabama	34,815	34,635	35,588
California	24,758	11,891	4,334
Tennessee	24,153	19,815	19,718
South Carolina	23,013	9,035	8,725
Arizona	17,598	6,482	3,879
Pennsylvania	15,782	9,135	8,843
Ohio	14,708	12,045	12,639
Texas	13,531	8,410	8,850
Indiana	8,392	7,606	8,058
Mississippi	6,156	5,631	5,819
Illinois	5,094	6,052	5,480
Virginia	314	328	386
Missouri	102	94	96
	$ 397,171	$ 230,529	$ 209,043

Our insurance companies present a combined ratio as a measure of our overall underwriting profitability. The components of the combined ratio are as follows.

Loss Ratio - Loss ratio is the ratio (expressed as a percentage) of losses and loss adjustment expenses incurred to premiums earned and is a basic element of underwriting profitability. We calculate this ratio based on all direct and assumed premiums earned, net of ceded reinsurance.

Expense Ratio - Expense ratio is the ratio (expressed as a percentage) of insurance company operating expenses (including depreciation and amortization) to net premiums earned. Insurance company operating expenses are reduced by billing fees and service charges from insureds. This is a measurement that illustrates relative management efficiency in administering our insurance companies.

Combined Ratio - Combined ratio is the sum of the loss ratio and the expense ratio. If the combined ratio is at or above 100%, we cannot be profitable without sufficient investment income.

The following table presents our loss, expense, and combined ratios for our insurance companies:

	Year Ended December 31,		
	2023	2022	2021
Loss	69.6%	78.7%	74.2%
Expense	27.6%	30.6%	29.3%
Combined	97.2%	109.3%	103.5%

Investments

We use the services of an independent investment manager to help oversee the management of our investment portfolio. The investment manager, in concert with our Chief Investment Officer, conducts, in accordance with our investment policy, all of the investment purchases and sales for our insurance company subsidiaries. Our investment policy has been established by the Investment Committee of our Board of Directors and specifically addresses overall investment goals and objectives, authorized investments, prohibited securities, restrictions on sales and guidelines as to asset allocation, duration, and credit quality. Management and the Investment Committee meet quarterly with our investment manager and Chief Investment Officer to review the performance of the portfolio and compliance with our investment guidelines.

The invested assets of the insurance company subsidiaries consist substantially of marketable, investment grade debt securities, and include U.S. government securities, municipal bonds, corporate bonds, mutual funds, asset-backed securities, and collateralized mortgage obligations ("CMOs"), in addition to other investment alternatives made into limited partnership interests and a real estate investment trust. Investment income is comprised primarily of interest earned on these securities, net of related investment expenses. Although investments are generally purchased with the intention to hold them until maturity, realized gains and losses could occur as changes are made to our holdings based upon changes in interest rates or the credit quality of specific securities.

The value of our consolidated fixed maturities, available-for-sale portfolio was $192.9 million as of December 31, 2023 and consisted of fixed maturity securities carried at fair value with unrealized gains and losses reported as a separate component of stockholders' equity. As of December 31, 2023, we had gross unrealized gains of $1.4 million and gross unrealized losses of $9.1 million in our consolidated investments in fixed maturities, available-for-sale portfolio.

The value of our investment in equity securities portfolio was $10.7 million as of December 31, 2023 and consisted of investments in mutual funds, carried at fair value with unrealized gains and losses reported as a component of net income (loss). As of December 31, 2023, we had gross unrealized gains of $2.4 million and gross unrealized losses of $0.8 million in our investments in equity securities portfolio.

The value of our other investments was $5.6 million as of December 31, 2023 and consisted of two limited partnership interests carried at net asset value and a REIT at cost, which approximated fair value, with unrealized gains and losses reported as investment income.

As of December 31, 2023, 99.4% of the fair value of our fixed maturities portfolio was rated "investment grade" (a credit rating of AAA to BBB-) by nationally recognized statistical rating organizations. Investment grade securities generally bear lower yields and have lower degrees of risk than those that are unrated or non-investment grade. We believe that a high-quality investment portfolio is more likely to generate a stable and predictable investment return.

Year Ended December 31, 2023, Compared with the Year Ended December 31, 2022

Consolidated Results

Revenues for the year ended December 31, 2023 increased 85% to $560.6 million from $302.3 million in the prior year. Income before income taxes for the year ended December 31, 2023, was $99.0 million, compared with loss before income taxes of $22.0 million for the year ended December 31, 2022. Net income for the year ended December 31, 2023, was $73.9 million, compared with net loss of $17.5 million for the year ended December 31, 2022. Basic and diluted net income per share were $1.94 and $1.92 for the year ended December 31, 2023, respectively, compared with basic and diluted net loss per share of $0.46 for the year ended December 31, 2022.

Excluding the gain on sale of insurance agency of $73.0 million, income before income taxes for the year ended December 31, 2023 was $26.0 million compared with loss before income taxes of $22.0 million for the year ended December 31, 2022.

For the year ended December 31, 2023, we recognized unfavorable prior period loss and LAE development of $1.7 million compared with $4.8 million for the year ended December 31, 2022.

Net income and revenues for the year ended December 31, 2023, included $1.6 million in net gains on investments compared with $1.1 million in net losses on investments for the year ended December 31, 2022.

Premiums Earned

Premiums earned increased by $166.7 million, or 72%, to $397.2 million for the year ended December 31, 2023, from $230.5 million for the year ended December 31, 2022. This increase in premiums earned were driven significantly by the impact of recent premium rate increases and by an increase in the Acceptance policies in-force compared to the prior year, primarily as a result of the growth in the independent agent channel. The growth in this channel was driven by the growth and state expansion of the Company's largest independent agent who utilizes a technology driven method of distribution.

The average in-force premium for Acceptance policies-in-force as of December 31, 2023 has increased 10% from the same period in the prior year and is expected to further increase as a result of the continuing impact of premium rate actions taken by the Company in response to the increase in loss severity in the latter half of 2022.

Commission and Fee Income

Commission and fee income increased by $2.1 million, or 4%, to $55.1 million for the year ended December 31, 2023, from $53.0 million for the year ended December 31, 2022. This increase was primarily the result of an increase in agency fee income. As a result of the December 1, 2023 sale of the Insurance Agency, the year ended December 31, 2023 reflects only 11 months of commission and fee income and these revenues will not continue for the Company in the future.

Billing Fees and Service Charges

Billing fees and service charges increased by $9.1 million, or 57%, to $25.0 million for the year ended December 31, 2023, from $15.9 million for the year ended December 31, 2022. These increases were primarily the result of the increase in Acceptance business policies-in-force compared to the prior year.

Investment Income

Investment income increased to $8.7 million during the year ended December 31, 2023, from $3.9 million during the year ended December 31, 2022. These increases were primarily the result of higher yields on short term cash equivalents and fixed maturities as well as improved returns on other investments, in addition to an increase in total invested assets as a result of cash provided from operations during the year.

As of December 31, 2023, and 2022, the book yields for our fixed maturities and cash equivalents portfolio were 3.9% and 2.9%, respectively, with effective durations of 2.26 and 2.43 years, respectively. Yield has increased as the Company has taken advantage of the increase in interest rates by investing previously uninvested cash and reinvesting portfolio maturities at higher interest rates.

Gain on Sale of Insurance Agency

On December 1, 2023, the Company sold its Insurance Agency recognizing a gain of $73.0 million. This gain includes the entire amount of the future contingent receivable, recorded at fair value, utilizing a discounted cash flow approach.

Net Gains (Losses) on Investments and Foreclosed Real Estate Held for Sale

Net gains (losses) on investments and foreclosed real estate held for sale during the year ended December 31, 2023, included a net realized gain of $0.5 million from investments and an unrealized gain of $1.1 million on equity securities.

Net (losses) gains on investments and foreclosed real estate held for sale during the year ended December 31, 2022, included a net realized gain of $0.8 million from investments, an unrealized loss of $1.7 million on equity securities, and an other-than-temporary impairment of fixed maturities available for sale of $0.2 million.

Losses and Loss Adjustment Expenses

The loss ratio was 69.6% for the year ended December 31, 2023, compared with 78.7% for the year ended December 31, 2022. We experienced unfavorable development related to prior fiscal years of $1.7 million for the year ended December 31, 2023, compared with $4.8 million for the year ended December 31, 2022. The unfavorable loss development for the year ended December 31, 2023 was primarily attributable to higher-than-expected collision losses in the 2022 accident year. The unfavorable loss development for the year ended December 31, 2022 was primarily attributable to higher-than-expected loss severity on third-party physical damage losses for the fourth quarter of 2021.

Excluding the development related to prior fiscal years, the loss ratios for the years ended December 31, 2023 and 2022 were 69.2% and 76.5%, respectively. These improved loss ratios are primarily the result of the impact of recent rate increases, a moderation of the increased severity resulting from the economic conditions that led to increased car prices and vehicle repair costs in the prior year, and a higher percentage of liability-only policies written in 2023.

Insurance Operating Expenses

Insurance operating expenses increased year-over-year by $41.4 million, or 30%. These increases were primarily the result of higher commissions to independent agents as a result of the increase in business written through this channel during the current year.

The insurance companies' expense ratio was 27.6% for the year ended December 31, 2023, compared with 30.6% for the year ended December 31, 2022.

Provision (Benefit) for Income Taxes

The provision for income taxes was $25.1 million for the year ended December 31, 2023, compared with a benefit for income taxes of $4.5 million for the year ended December 31, 2022. The effective tax rate increased to 25.4% for the year ended December 31, 2023, from 20.6% in the prior year, primarily as a result of the impact of state taxes resulting from the gain of the sale on the Insurance Agency which is subject to state taxes.

Primarily, as a result of the gain on the sale of the Insurance Agency, the Company will utilize its remaining federal net operating loss carryforwards in 2023 as well as substantially all of its remaining state net operating loss carryforwards not covered by a valuation allowance. Such gain will be recognized as an installment sale for both federal and state tax purposes and the Company has recorded a deferred tax liability for the portion of the gain not currently taxable.

Interest Expense

Interest expense was $3.8 million for the year ended December 31, 2023, compared with $2.4 million for year ended December 31, 2022. Interest expense increased primarily as a result of the increase in LIBOR and the subsequent replacement SOFR rate and may increase in the future should interest rates continue to rise. For additional information, see "Liquidity and Capital Resources" in this report.

Year Ended December 31, 2022, Compared with the Year Ended December 31, 2021

Consolidated Results

Revenues for the year ended December 31, 2022, increased 6% to $302.3 million from $285.2 million in the prior year. Net loss before income taxes for the year ended December 31, 2022, was $22.0 million, compared with $2.6 million for the year ended December 31, 2021. Net loss for the year ended December 31, 2022, was $17.5 million, compared with $1.2 million for the year ended December 31, 2021. Basic and diluted net loss per share was $0.46 for the year ended December 31, 2022, compared with $0.03 for the year ended December 31, 2021.

For the year ended December 31, 2022, we recognized unfavorable prior period loss and LAE development of $4.8 million compared with favorable prior period loss and LAE development of $1.6 million for the year ended December 31, 2021.

Net loss and revenues for the year ended December 31, 2022, included $1.1 million in net losses on investments compared with $7.5 million in net gains on investments and foreclosed real estate held for sale for the year ended December 31, 2021.

Premiums Earned

Premiums earned increased by $21.5 million, or 10%, to $230.5 million for the year ended December 31, 2022, from $209.0 million for the year ended December 31, 2021. The increase in premiums earned was driven by an increase in the Acceptance policies in-force compared to the prior year, primarily as a result of the growth in the independent agent channel and through sales initiatives in the retail channel.

We believe that future premiums earned will benefit from the recent favorable trends in new business production. We believe that this increase is the result of improved staffing and local marketing efforts in our retail stores as they have battled the economic headwinds, as well as the growth in the Company's independent agent channel which is bringing new customers to Acceptance. However, we also believe that these economic headwinds may present continued challenges to our future revenue growth.

The average in-force premium for Acceptance policies-in-force as of December 31, 2022 has increased 12% from the same period in the prior year and is expected to further increase in 2023 as a result of the continuing impact of recent and pending premium rate actions taken by the Company in response to the recent increase in loss severity further discussed under "Losses and Loss Adjustment Expenses."

Commission and Fee Income

Commission and fee income increased by $1.3 million, or 3%, to $53.0 million for the year ended December 31, 2022, from $51.7 million for the year ended December 31, 2021. Decreases in the sales of ancillary products have been offset by an increase in agency fee income.

Billing Fees and Service Charges

Billing fees and service charges increased by $2.5 million, or 19%, to $15.9 million for the year ended December 31, 2022, from $13.4 million for the year ended December 31, 2021. This increase is primarily the result of fee increase actions taken by the Company as well as the increase in Acceptance policies in-force compared to the prior year.

Investment Income

Investment income increased to $3.9 million during the year ended December 31, 2022, from $3.6 million during the year ended December 31, 2021, primarily as the result of favorable yield adjustments on residential collateralized mortgage obligations and higher yields on reinvested fixed maturities.

As of December 31, 2022, and 2021, the book yields for our fixed maturities and cash equivalents portfolio were 2.9% and 1.6%, respectively, with effective durations of 2.43 and 2.47 years, respectively. Yield has increased as the Company has taken advantage of the increase in interest rates by investing previously uninvested cash and reinvesting portfolio maturities at higher interest rates.

Net (Losses) Gains on Investments and Foreclosed Real Estate Held for Sale

Net (losses) gains on investments and foreclosed real estate held for sale during the year ended December 31, 2022, included a net realized gain of $0.8 million from investments, an unrealized loss of $1.7 million on equity securities, and an other-than-temporary impairment of fixed maturities available for sale of $0.2 million.

Net (losses) gains on investments and foreclosed real estate held for sale during the year ended December 31, 2021, included a net realized gain of $6.1 million from investments, an unrealized gain of $0.7 million on equity securities, and a gain of $0.7 million from the sale of the Company's remaining foreclosed real estate held for sale.

Losses and Loss Adjustment Expenses

The loss ratio was 78.7% for the year ended December 31, 2022, compared with 74.2% for the year ended December 31, 2021. We experienced unfavorable development related to prior fiscal years of $4.8 million for the year ended December 31, 2022, compared with favorable development related to prior fiscal years of $1.6 million for the year ended December 31, 2021. The unfavorable loss development for the year ended December 31, 2022 was primarily attributable to higher-than-expected loss severity on third-party physical damage losses for the fourth quarter of 2021. The favorable loss development for the year ended December 31, 2021 was primarily attributable to improved bodily injury severity in previous accident years.

Excluding the development related to prior fiscal years, the loss ratios for the years ended December 31, 2022 and 2021 were 76.5% and 74.8%, respectively. The loss ratio increased due to the increase in severity levels that impacted physical damage losses. This increased severity was primarily due to recent economic conditions that have led to increased car prices and vehicle repair costs.

Various auto insurance industry publications suggest that increased loss ratios are being experienced industry wide despite the fact that most auto insurance carriers have taken recent rate increases. Such sources also suggest that these increased loss ratios will continue through 2023 and as a result, carriers will seek additional rate increases. In this regard, the Company has and will continue to seek rate increases as deemed necessary. To the contrary, recent publications have reported that automotive wholesale and retail values have been trending lower.

We consistently employ conventional actuarial loss reserving techniques that rely upon historical loss payment patterns and changes in exposures. Recently, the winding down of the Pandemic has impacted payment patterns causing us to modify the actuarial techniques employed in our loss reserve analysis as of September 30, 2022, These modified reserving techniques were continued to be utilized as of December 31, 2022.

Insurance Operating Expenses

Insurance operating expenses increased year-over-year by $7.9 million, or 6.2%. The increase in insurance operating expenses were primarily the result of higher staffing vacancies at our retail stores and higher commissions to independent agents as a result of the increase in business written through this channel during the current year.

The insurance companies' expense ratio was 30.6% for the year ended December 31, 2022, compared with 29.2% for the year ended December 31, 2021.

In response to the increase in the Company's expense ratio, some of which is inflationary-driven, and continued pressure on the loss costs in the market creating uncertainty around the loss ratio, the Company has enacted a comprehensive cost-containment program, which included the closure of 14 underperforming retail locations, in an effort to reduce its expense ratio.

(Benefit) Provision for Income Taxes

The benefit for income taxes was $4.5 million for the year ended December 31, 2022, compared with $1.4 million for the year ended December 31, 2021. The effective tax rate was 20.6% for the year ended December 31, 2022, and 52.4% in the prior year. The prior year effective rate was impacted by the release of the valuation allowance for capital loss carryovers and a reduction in state taxes.

In assessing our ability to realize our deferred tax asset ("DTA"), both positive and negative evidence are used to evaluate the allowance. We placed the greatest weight on the Company's outlook for future taxable income over the allowable time period for realization of the DTA and concluded that it is more likely than not that the remaining DTA will be realized. Regarding the length of time available to realize the DTA, as of December 31, 2022, the Company had $4.9 million of the DTA related to federal net operating loss carryforwards that do not expire until 2036, $2.6 million that do not expire until 2042 and $3.1 million have no expiration date. The DTA valuation allowance may be adjusted in future periods if management determines that it is more likely than not that some portion or all of the DTA will not be realized. In the event the DTA valuation allowance is adjusted, we would record an income tax expense for the adjustment.

Interest Expense

Interest expense was $2.4 million for the year ended December 31, 2022, compared with $1.7 million for year ended December 31, 2021. Interest expense increased primarily as a result of the increase in LIBOR and may increase in the future should interest rates continue to rise. For additional information, see "Liquidity and Capital Resources" in this report.

Liquidity and Capital Resources

Our primary sources of funds are premiums, billing fees and service charges, and investment income from our insurance company subsidiaries. Through December 1, 2023, we also received commissions and fee income from our non-insurance company subsidiaries. Our primary uses of funds are the payment of claims and operating expenses. Net cash provided by operating activities for the year ended December 31, 2023, was $84.3 million, compared with net cash used in operating activities of $3.9 million for the year ended December 31, 2022. This increase was primarily the result of the net income from operations for the year, an increase in premium collections and an increase in the reserve for loss and loss adjustment expenses.

Net cash used in investing activities for the year ended December 31, 2023, was $23.7 million, compared with net cash provided by investing activities of $7.2 million for the year ended December 31, 2022. This change was primarily the result of the $54.1 million of net proceeds received from the sale of the Insurance Agency and an increase in the purchases of securities in the current year as the Company has taken advantage of the increase in interest rates by investing previously uninvested cash.

Our holding company requires cash for general corporate overhead expenses and for debt service related to our debentures payable. Following the sale of the Insurance Agency, the holding company's primary source of unrestricted cash to meet its obligations will be dividends from the insurance companies and the remaining proceeds to be received through 2026 from the sale of the Insurance Agency as noted in the following paragraph. As of December 31, 2023, our holding company had adequate unrestricted cash to meet current obligations. We also believe that these funds and the additional anticipated unrestricted cash from the sources noted above will be sufficient to pay our future cash requirements outside of the insurance company subsidiaries.

As a result of the sale of the Insurance Agency, the Company will receive additional unrestricted cash of $20 million currently held in escrow that will be released monthly from March 2024 through December 2024. The Company is also eligible to receive additional maximum contingent consideration of $15 million, $10 million, and $20 million, on December 1, 2024, 2025 and 2026, respectively, based upon achievement of certain annual production targets, the receipt of which the Company has deemed probable. The cash from the contingent consideration payments to the Company would be unrestricted unless required by the Insurance Companies to maintain $100 million of capital and surplus as per the purchase agreement.

The holding company has debt service requirements related to the debentures payable. The debentures are interest-only and mature in full in July 2037. Effective July 1, 2023 with the sunset of LIBOR, the debentures now accrue interest at a variable rate equal to an adjusted Three-Month CME term SOFR rate plus 375 basis points, which resets quarterly. The interest rate related to the debentures for the year ended December 31, 2023 ranged from 8.165% to 9.402%. In January 2024, the interest rate reset to 9.329% through April 2024. For additional information, see Note 10 to the Consolidated Financial Statements in this report regarding the sunset of LIBOR.

State insurance laws limit the amount of dividends that may be paid from our insurance company subsidiaries. As of December 31, 2023, the dividend limitation for 2024 would be $12.1 million.

We have three insurance company subsidiaries that are organized and domiciled under the insurance statutes of Texas, Georgia, and Tennessee. Our insurance company subsidiaries also operate under licenses issued by various state insurance authorities. Such licenses may be of perpetual duration or periodically renewable, provided we continue to meet applicable regulatory requirements.

The National Association of Insurance Commissioners ("NAIC") Model Act for risk-based capital provides formulas to determine each December 31 on an annual basis the amount of statutory capital and surplus that an insurance company needs to ensure that it has an acceptable expectation of not becoming financially impaired. Failure to meet applicable risk-based capital requirements could subject our insurance company subsidiaries to further examination or corrective action imposed by state regulators, including limitations on their writing of additional business, state supervision or even liquidation. As of December 31, 2023, the insurance company subsidiaries remain above the company action levels. There are also statutory guidelines that suggest that on an annual calendar year basis an insurance company should not exceed a ratio of net premiums written to statutory capital and surplus of 3-to-1. For the year ended December 31, 2023, each insurance company subsidiary was within this guideline.

We believe that existing cash and investment balances, when combined with anticipated cash flows as noted above, will be adequate to meet our expected liquidity needs, for both the holding company and our insurance company subsidiaries, in both the short-term and the foreseeable future.

Trust Preferred Securities

On June 15, 2007, First Acceptance Statutory Trust I ("FAST I"), our unconsolidated subsidiary trust entity, completed a private placement whereby FAST I issued 40,000 shares of preferred securities at $1,000 per share to outside investors and 1,240 shares of common securities to us, also at $1,000 per share. FAST I used the proceeds from the sale of the preferred securities to purchase $41.2 million of junior subordinated debentures from us. The debentures will mature on July 30, 2037 and are currently redeemable by the Company in whole or in part and the preferred securities are callable. The debentures currently pay a variable rate equal to an adjusted Three-Month CME term SOFR rate plus 375 basis points, resetting quarterly. During 2023, the interest rate related to the debentures ranged from 8.165% to 9.402%. The obligations of the Company under the junior subordinated debentures represent full and unconditional guarantees by the Company of FAST I's obligations for the preferred securities. Dividends on the preferred securities are cumulative, payable quarterly in arrears and are deferrable at the Company's option for up to five years. The dividends on these securities, which have not been deferred, are the same as the interest on the debentures. The Company cannot pay dividends on its common stock during any such deferments. FAST I does not meet the requirements for consolidation of FASB ASC 810, "*Consolidation".* See note 10 to the consolidated financial statements.

Off-Balance Sheet Arrangements

The Company has no off-balance sheet arrangements.

Critical Accounting Estimates

The preparation of consolidated financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that affect amounts reported in the consolidated financial statements. As more information becomes known, these estimates and assumptions could change, thus having an impact on the amounts reported in the future. The following is considered to be a critical accounting estimate.

Losses and Loss Adjustment Expense Reserves

Losses and loss adjustment expense reserves represent our best estimate of our ultimate liability for losses and loss adjustment expenses relating to events that occurred prior to the end of any given accounting period but have not been paid. Months and potentially years may elapse between the occurrence of an automobile accident covered by one of our insurance policies, the reporting of the accident and the payment of the claim. We record a liability for estimates of losses that will be paid for accidents that have been reported, which is referred to as case reserves. As accidents are not always reported when they occur, we estimate liabilities for accidents that have occurred but have not been reported ("IBNR").

We are directly liable for loss and loss adjustment expenses under the terms of the insurance policies underwritten by our insurance company subsidiaries. Each of our insurance company subsidiaries establishes a reserve for all of its unpaid losses, including case reserves and IBNR reserves, and estimates for the cost to settle the claims. We estimate our IBNR reserves by estimating our ultimate liability for loss and loss adjustment expense reserves first, and then reducing that amount by the amount of cumulative paid claims and by the amount of our case reserves. We rely primarily on historical loss experience in determining reserve levels, on the assumption that historical loss experience provides a good indication of future loss experience. We also consider various other factors, such as inflation, claims settlement patterns, legislative activity, and litigation trends. Our actuarial staff continually monitors these estimates on a state and coverage level. We utilize our actuarial staff to determine appropriate reserve levels. As experience develops or new information becomes known, we increase or decrease the level of our reserves in the period in which changes to the estimates are determined. These estimates involve a high level of subjectivity and judgement, and accordingly, the actual losses and loss adjustment expenses may differ materially from the estimates we have recorded.

We believe that our estimate regarding changes in loss severity is the most significant factor that can potentially impact our IBNR reserve estimate. We believe that there is a reasonable possibility of increases or decreases in our estimated claim severities, with the largest potential changes occurring in the most recent accident years.

Regarding our most recent estimate, for the year ended December 31, 2023, we experienced unfavorable development on reserves of $1.7 million, which increased our loss and loss adjustment expense for prior accident periods. This unfavorable development was primarily attributable to higher-than-expected collision losses in the 2022 accident year.

See Note 9 to our consolidated financial statements for additional information.

Quantitative and Qualitative Disclosures About Market Risk

Market risk represents the potential economic loss arising from adverse changes in the fair value of financial instruments. Our exposures to market risk relate primarily to our investment portfolio, which is exposed primarily to interest rate risk and credit risk. The fair value of our investment portfolio is directly impacted by changes in market interest rates. Generally, the fair value of fixed-income investments moves inversely with movements in market interest rates. Our fixed maturity portfolio is comprised of substantially all fixed rate investments with primarily short-term and intermediate-term maturities. Likewise, the underlying investments of our mutual fund investments and certain other investments are also fixed-income investments. This portfolio composition allows flexibility in reacting to fluctuations of interest rates. Other investments offer additional risk through the diversity of their underlying investments and their lack of marketability. The portfolios of our insurance company subsidiaries are managed to achieve an adequate risk-adjusted return while maintaining sufficient liquidity to meet policyholder obligations.

Interest Rate Risk

The fair values of our fixed maturity investments fluctuate in response to changes in market interest rates. Increases and decreases in prevailing interest rates generally translate into decreases and increases, respectively, in the fair values of those instruments. Additionally, the fair values of interest rate sensitive instruments may be affected by the creditworthiness of the issuer, prepayment options, relative values of alternative investments, the liquidity of the instrument, and other general market conditions.

The following table summarizes the estimated effects of hypothetical increases and decreases in interest rates resulting from parallel shifts in market yield curves on our fixed maturities portfolio (in thousands). It is assumed that the effects are realized immediately upon the change in interest rates. The hypothetical changes in market interest rates do not reflect what could be deemed best or worst-case scenarios. Variations in market interest rates could produce significant changes in the timing of repayments due to prepayment options available. For these and other reasons, actual results might differ from those reflected in the table.

	Sensitivity to Instantaneous Interest Rate Changes (basis points)						
	(200)	(100)	(50)	0	50	100	200
Fair value of fixed maturities portfolio	$ 0	$198,519	$195,701	$192,885	$190,069	$187,254	$181,627

The following table provides information about our fixed maturity investments as of December 31, 2023, which are sensitive to interest rate risk. The table shows expected principal cash flows (at par value, which differs from amortized cost as a result of premiums or discounts at the time of purchase and any expected impairment) by expected maturity date for each of the next five years and collectively for all years thereafter (in thousands). Callable bonds and notes are included based on call date or maturity date depending upon which date produces the most conservative yield. CMOs and sinking fund issues are included based on maturity year adjusted for expected payment patterns. Actual cash flows may differ from those expected.

Year Ending December 31,	Securities with Unrealized Gains	Securities with Unrealized Losses	Securities with No Unrealized Gains or Losses	All Fixed Maturity Securities
2024	$ 9,935	$ 24,618	$ —	$ 34,553
2025	11,913	25,186	—	37,099
2026	25,364	23,915	—	49,279
2027	7,732	1,239	750	9,721
2028	14,645	2,578	750	17,973
Thereafter	7,658	43,790	—	51,448
Total	$ 77,247	$ 121,327	$ 1,500	$ 200,073
Fair value	$ 76,515	$ 114,866	$ 1,504	$ 192,885

On June 15, 2007, our unconsolidated trust entity, FAST I, used the proceeds from its sale of trust preferred securities to purchase $41.2 million of junior subordinated debentures. The debentures currently pay a variable rate equal to an adjusted Three-Month CME term SOFR rate plus 375 basis points resetting quarterly. The interest rate related to the debentures ranged from 8.165% to 9.402% during 2023. Interest rates on these debentures therefore will reset quarterly based on changes in the Three-Month CME term SOFR rate. In January 2024, the interest rate reset to 9.329% through April 2024. See note 10 to the consolidated financial statements.

Credit Risk

Credit risk is managed by diversifying our investment portfolio to avoid concentrations in any single industry group or issuer and by limiting investments in securities with lower credit ratings. Our largest single investment, excluding U.S. government and agency securities, is our investment in a single mutual fund with a fair value of $5.7 million, while our five largest investments totaled $21.1 million.

The following table presents the underlying ratings of our fixed maturities portfolio by nationally recognized statistical rating organizations as of December 31, 2023 (in thousands).

Comparable Rating	Amortized Cost	% of Amortized Cost	Fair Value	% of Fair Value
AAA	$ 107,615	53.7%	$ 100,071	51.9%
AA+, AA, AA-	27,181	13.6%	27,069	14.0%
A+, A, A-	40,600	20.2%	40,436	21.0%
BBB+, BBB, BBB-	24,325	12.1%	24,070	12.5%
Total investment grade	199,721	99.6%	191,646	99.4%
Not rated	204	0.1%	358	0.2%
BB+, BB, BB-	—	0.0%	—	0.0%
B+, B, B-	—	0.0%	—	0.0%
CCC+, CCC, CCC-	198	0.1%	484	0.2%
CC+, CC, CC-	—	0.0%	—	0.0%
C+, C, C-	17	0.0%	13	0.0%
D	404	0.2%	384	0.2%
Total non-investment grade	619	0.4%	881	0.6%
Total	$ 200,544	100.0%	$ 192.885	100.0%

Risk Factors

Investing in the Company involves risk. You should carefully consider the following risk factors, any of which could have a significant or material adverse effect on the Company. This information should be considered together with the other information contained in this report and in the other reports and materials filed by us with OTCQX Markets, as well as news releases publicly disseminated by us from time to time.

Our business may be adversely affected by adverse economic conditions, current inflationary economy, and other negative developments in the non-standard personal automobile insurance industry.

Substantially all of our revenues are now generated from underwriting non-standard personal automobile insurance policies. As a result of our concentration in this line of business, negative developments in the economic, competitive, or regulatory conditions affecting the non-standard personal automobile insurance industry and our customers could reduce our revenues, increase our expenses, or otherwise have a material adverse effect on our results of operations and financial condition. Weak economic conditions, elevated unemployment levels, and low consumer confidence in the United States tend to result in fewer customers purchasing and maintaining non-standard personal automobile insurance policies and certain customers reducing their insurance coverage, which adversely impacts our revenues and profitability. Developments affecting the non-standard personal automobile insurance industry and our customers could have a greater effect on us compared with more diversified insurers that also sell other types of automobile insurance products or write other additional lines of insurance.

In addition, auto technology advancements such as driverless cars and usage-based insurance, could materially impact our revenues over time. However, based on the higher average age of the vehicles we currently insure for non-standard customers, we believe that these advancements will impact us later than it will for the preferred and standard personal automobile insurance carriers.

Our underwriting results may fluctuate as a result of cyclical changes in the non-standard personal automobile insurance industry.

The non-standard personal automobile insurance industry is cyclical in nature. Likewise, adverse economic conditions impact our customers, and many will choose to reduce their coverage or go uninsured during a weak economy. Conversely, favorable economic conditions may lead to lower gas prices which result in an increase in miles driven and consequently claim frequency. Employment rates, sales of used vehicles, consumer confidence and other factors affect our customers' purchasing habits. In the past, the industry has also been characterized by periods of price competition and excess capacity followed by periods of high premium rates and shortages of underwriting capacity. If new competitors enter the market, existing competitors may attempt to increase market share by lowering rates. Given the cyclical nature of the industry and the economy, these conditions may negatively impact our revenues and profitability.

Our loss and loss adjustment expenses may exceed our reserves, which would adversely impact our results of operations and financial condition.

We establish reserves for the estimated amount of claims under the terms of the insurance policies underwritten by our insurance company subsidiaries. The amount of the reserves is determined based on historical claims information and other factors. The establishment of appropriate reserves is an inherently uncertain process due to a number of factors, including the difficulty in predicting the frequency and severity of claims, the rate of inflation, changes in trends, ongoing interpretation of insurance policy provisions by courts and inconsistent decisions in lawsuits regarding coverage and broader theories of liability. Any changes in claims settlement practices can also lead to changes in loss payment patterns, which are used to estimate reserve levels. Our ability to accurately estimate our loss and loss adjustment expense reserves may be made more difficult by changes in our business, including entry into new markets, changes in sales practices, or changes in our customers' purchasing habits. If our reserves prove to be inadequate, we will be required to increase our loss reserves and the amount of any such increase would reduce our income in the period that the deficiency is recognized. The historic development of reserves for loss and loss adjustment expenses may not necessarily reflect future trends in the development of these amounts. Consequently, our actual losses could materially exceed our loss reserves, which would have a material adverse effect on our results of operations and financial condition.

Our insurance company subsidiaries are subject to statutory capital and surplus requirements and other standards, and their failure to meet these requirements or standards could subject them to regulatory actions.

Our insurance company subsidiaries are subject to RBC standards and other minimum statutory capital and surplus requirements imposed under the laws of their respective states of domicile. The RBC standards, which are based upon the RBC Model Act adopted by the NAIC, require our insurance company subsidiaries to annually report their results of RBC calculations to the state departments of insurance and the NAIC.

Failure to meet applicable minimum RBC requirements or minimum statutory capital and surplus requirements could subject our insurance company subsidiaries to further examination or corrective action imposed by state regulators, including limitations on their writing of additional business, state supervision or even liquidation. Any changes in existing minimum RBC standards or minimum statutory capital and surplus requirements may require our insurance company subsidiaries to increase their statutory capital and surplus levels, which they may be unable to do. These calculations are performed on a calendar year basis, and as of December 31, 2023, our insurance company subsidiaries maintained RBC levels in excess of an amount that would require any corrective actions on their part.

Extra-contractual losses arising from bad faith claims could materially reduce our profitability.

In Florida, Georgia, and other states where we have substantial operations, the judicial climate, case law or statutory framework are often viewed as unfavorable toward an insurer in litigation brought against it by policyholders and third-party claimants. This tends to increase our exposure to extra-contractual losses, or monetary damages beyond policy limits, in what are known as "bad faith" claims. Such claims may result in losses which could have a material adverse effect on our results of operations and financial condition.

Our investment portfolio may suffer reduced returns or other-than-temporary impairment losses, which could reduce our profitability.

Our results of operations depend, in part, on the performance of our investment portfolio. As of December 31, 2023, the majority of our investment portfolio was invested either directly or indirectly in marketable, investment-grade debt securities and mutual funds, and included U.S. government securities, municipal bonds, corporate bonds, asset-backed securities, and collateralized mortgage obligations. Recent increases in interest rates have reduced the fair value of our investments below amortized cost resulting in a net unrealized loss. Such loss is recognized in comprehensive income (loss) for debt securities and in net income (loss) for equity securities, and in both cases, reduce our stockholders' equity. As of December 31, 2023, the amortized cost of our fixed maturities, available for sale investment portfolio exceeded its fair value by approximately $7.7 million. A future increase in interest rates could further reduce the fair value of our investment portfolio.

We also have made certain "other investments" that are not readily marketable and have restrictions as to their redemption. Defaults by third parties who fail to pay or perform obligations could reduce our investment income and could also result in investment losses to our portfolio. See Note 3 to our consolidated financial statements regarding determination of other-than-temporary impairment losses on investment securities and for further information about our "other investments."

Our business is highly competitive, which may make it difficult for us to market our core products effectively and profitably.

The non-standard personal automobile insurance business is highly competitive. Our primary insurance company competition comes not only from national insurance companies or their subsidiaries, but also from non-standard insurers and independent agents that operate in a specific region or single state in which we also operate. Some of our competitors have substantially greater financial and other resources than we do, and they may offer a broader range of products or competing products at lower prices and may offer products through multiple distribution channels. Our revenues, profitability and financial condition could be materially adversely affected if we are required to decrease or are unable to increase prices to stay competitive, or if we do not successfully retain our current customers and attract new customers.

In addition, innovation by competitors or other market participants may increase the level of competition in the industry. This can include product, pricing, or marketing innovations, new or improved services, technology advances, or new modes of doing business that enhance the customer's ability to shop and compare prices from multiple companies, among other initiatives. Our ability to react to such advances and navigate the new competitive environment is important to our success.

Our ability to attract, develop, and retain talented employees, managers, and executives, and to maintain appropriate staffing levels, is critical to our success.

Our success depends on our ability to attract, develop, and retain talented employees, including executives, and other key managers. Our loss of certain key employees, or the failure to attract and develop talented new executives and managers, could have a materially adverse effect on our business. In addition, we must forecast volume and other factors in changing business environments with reasonable accuracy and adjust our hiring and training programs and employment levels accordingly. Our failure to recognize the need for such adjustments, or our failure or inability to react appropriately on a timely basis, could lead either to over-staffing (which would adversely affect our cost structure) or under-staffing (impairing our ability to service our business) in one or more locations. In either such event, our financial results, customer relationships, and brand could be materially adversely affected.

Pricing, claim, and coverage issues and class action litigation are continually emerging in the automobile insurance industry, and these issues could adversely impact our revenues, profitability, or our methods of doing business.

As automobile insurance industry practices and regulatory, judicial and consumer conditions change, litigation and unexpected and unintended issues related to claims, coverages and business practices may emerge. These issues can have an adverse effect on our business by subjecting us to liability, changing the way we price and market our products, extending coverage beyond our underwriting intent, requiring us to obtain additional licenses or increasing the size of claims. The effects of unforeseen emerging issues could subject us to liability or negatively affect our revenues, profitability, or our methods of doing business. Recent economic conditions have led to increased car prices and vehicle repair costs resulting in increased loss severity.

Our business may be adversely affected if we do not underwrite risks accurately and charge adequate rates to policyholders.

Our financial condition, cash flows, and results of operations depend on our ability to underwrite and set rates accurately for a full spectrum of risks. The role of the pricing function is to ensure that rates are adequate to generate sufficient premium to pay losses, loss adjustment expenses, and underwriting expenses, and to earn a profit. Pricing involves the acquisition and analysis of historical accident, loss and credit data, and the projection of future accident trends, loss costs and expenses, and inflation trends, among other factors, for each of our products and in many different markets. As a result, our ability to price accurately is subject to a number of risks and uncertainties, including, without limitation:

- the availability of sufficient reliable data;
- uncertainties inherent in estimates and assumptions, generally;
- our ability to conduct a complete and accurate analysis of available data;
- our ability to timely recognize changes in trends and to predict both the severity and frequency of future losses with reasonable accuracy, specifically, the costs of auto repair parts and labor and medical costs;
- our ability to predict changes in certain operating expenses with reasonable accuracy;
- the development, selection, and application of appropriate rating formulae or other pricing methodologies;
- our ability to innovate with new pricing strategies, and the success of those innovations;
- our ability to implement rate changes and obtain any required regulatory approvals on a timely basis;
- our ability to predict policyholder retention accurately;
- unanticipated court decisions, legislation, or regulatory action;
- the occurrence and severity of catastrophic events, such as hurricanes, hailstorms, other severe weather, and terrorist events;
- our understanding of the impact of ongoing changes in our claim settlement practices; and
- changing driving patterns.

The realization of one or more of such risks may result in our pricing being based on inadequate or inaccurate data or inappropriate analyses, assumptions, or methodologies, and may cause us to estimate incorrectly future changes in the frequency or severity of claims. As a result, we could underprice risks, which would negatively affect our underwriting profit margins, or we could overprice risks, which could reduce our volume and competitiveness. In either event, our operating results, financial condition, and cash flows could be materially adversely affected. In addition, underpricing insurance policies over time could erode the surplus of one or more of our insurance subsidiaries, constraining our ability to write new business.

Our results are dependent on our ability to adjust claims accurately.

We must accurately evaluate and pay claims that are made under our insurance policies. Many factors can affect our ability to pay claims accurately, including the training, experience, and skill of our claims representatives, the extent of and our ability to recognize fraudulent or inflated claims, the effectiveness of our management, and our ability to develop or select and implement appropriate procedures, technologies, and systems to support our claims functions. Our failure to pay claims fairly, accurately, and in a timely manner, or to deploy claims resources appropriately, could result in unanticipated costs to us, lead to material litigation, undermine customer goodwill and our reputation in the marketplace, and impair our brand image and, as a result, materially adversely affect our competitiveness, financial results, prospects, and liquidity.

Our insurance company subsidiaries are subject to regulatory restrictions on paying dividends to our holding company.

Our holding company may in the future, rely in part, on receiving dividends from the insurance company subsidiaries to pay its obligations. State insurance laws limit the ability of our insurance company subsidiaries to pay dividends and require our insurance company subsidiaries to maintain specified minimum levels of statutory capital and surplus. These restrictions affect the ability of our insurance company subsidiaries to pay dividends to our holding company and may require our subsidiaries to obtain the prior approval of regulatory authorities, which could slow the timing of such payments or reduce the amount that can be paid. The limits on the amount of dividends that can be paid by our insurance company subsidiaries may affect the ability of our holding company to pay its obligations. The current dividend-paying ability of the insurance company subsidiaries is discussed in Note 15 to our consolidated financial statements.

We rely on our information technology and communication systems, and the failure of these systems could materially adversely affect our business.

Our business is highly dependent on proprietary and third-party integrated technology systems that enable timely and efficient communication and data sharing among the various segments of our integrated operations. These systems are used in all our operations, including price quotation, policy issuance, independent agent management, customer service, underwriting, claims, accounting, communications, and the maintenance of our consumer-based website and mobile platform. We have a technical staff that develops, maintains, and supports all elements of our technology infrastructure. However, failure by third-party vendors, disruption of power systems or communication systems or any failure of our systems could result in deterioration in our ability to respond to customers' requests, write and service new business, and process claims in a timely manner. We believe we have appropriate types and levels of insurance to protect our real property, systems, and other assets. However, insurance does not provide full reimbursement for all losses, both direct and indirect, that may result from an event affecting our information technology and communication systems.

Severe weather conditions and other catastrophes may result in an increase in the number and amount of claims filed against us.

Our business is exposed to the risk of severe weather conditions and other catastrophes. Catastrophes can be caused by various events, including natural events, such as severe winter weather, hurricanes, tornados, windstorms, earthquakes, hailstorms, thunderstorms and fires, and other events, such as explosions, terrorist attacks and riots. The incidence and severity of catastrophes and severe weather conditions are inherently unpredictable. Severe weather conditions generally result in more automobile accidents and damage, leading to an increase in the number of claims filed and/or the amount of compensation sought by claimants.

A single stockholder family has significant control over us, and their interests may differ from yours.

A single stockholder family, Gerald J. Ford, our former Chairman of the Board and his son, Jeremy B. Ford, our current Chairman, together control approximately 64% of our outstanding common stock. Together, they have the power to control the election and removal of our directors. They would also have significant control over other matters requiring stockholder approval, including the approval of any major corporate transactions or proposed amendments to our certificate of incorporation. This concentration of ownership may delay or prevent any change in control of the Company, as well as frustrate any attempts to replace or remove current management, even when a change may be in the best interests of our other stockholders. Furthermore, their interests may not always coincide with the interests of the Company or other stockholders.

We and our subsidiaries are subject to comprehensive regulation and supervision that may restrict our ability to earn profits.

We and our subsidiaries are subject to comprehensive regulation and supervision by the insurance departments in the states where our subsidiaries are domiciled and where our subsidiaries sell insurance, issue policies and handle claims. Certain regulatory restrictions and prior approval requirements may affect our subsidiaries' ability to operate, change their operations or obtain necessary rate adjustments in a timely manner or may increase our costs and reduce profitability.

Among other things, regulation and supervision of us and our subsidiaries extends to:

Required Licensing. We and our subsidiaries operate under licenses issued by various state insurance authorities. These licenses govern, among other things, the types of insurance coverages and claims services that we and our subsidiaries may offer consumers in the particular state. If a regulatory authority denies or delays granting any such license, our ability to enter new markets or offer new products could be substantially impaired.

Transactions Between Insurance Companies and Their Affiliates. Our insurance company subsidiaries are organized and domiciled under the insurance statutes of Texas, Georgia, and Tennessee. The insurance laws in these states provide that all transactions among members of an insurance holding company system must be done at arm's length and shown to be fair and reasonable to the regulated insurer. Transactions between our insurance company subsidiaries and other subsidiaries generally must be

disclosed to the state regulators, and prior approval of the applicable regulator generally is required before any material or extraordinary transaction may be consummated. State regulators may refuse to approve or delay approval of such a transaction, which may impact our ability to innovate or operate efficiently.

Regulation of Rates and Policy Forms. The insurance laws of most states in which our insurance company subsidiaries operate require insurance companies to file premium rate schedules and policy forms for review and approval. State insurance regulators have broad discretion in judging whether our rates are adequate, not excessive, and not unfairly discriminatory. The speed at which we can change our rates in response to market conditions or increasing costs depends, in part, on the method by which the applicable state's rating laws are administered. Generally, state insurance regulators have the authority to disapprove our requested rates. If as permitted in some states, we begin using new rates before they are approved, we may be required to issue premium refunds or credits to our policyholders if the new rates are ultimately disapproved by the applicable state regulator. In some states, there has been pressure in past years to reduce premium rates for automobile and other personal insurance or to limit how often an insurer may request increases for such rates. In states where such pressure is applied, our ability to respond to market developments or increased costs in that state may be adversely affected.

Investment Restrictions. Our insurance company subsidiaries are subject to state laws and regulations that require diversification of their investment portfolios and that limit the amount of investments in certain categories. Failure to comply with these laws and regulations would cause non-conforming investments to be treated as non-admitted assets for purposes of measuring statutory surplus and, in some instances, would require divestiture. If a non-conforming asset is treated as a non-admitted asset, it would lower the affected subsidiary's surplus and thus, its ability to write additional premiums and pay dividends.

Restrictions on Cancellation, Non-Renewal or Withdrawal. Many states have laws and regulations that limit an insurer's ability to exit a market. For example, certain states limit an automobile insurer's ability to cancel or non-renew policies. Some states prohibit an insurer from withdrawing from one or more lines of business in the state, except pursuant to a plan approved by the state insurance department. The state insurance department may disapprove a plan that may lead to market disruption. These laws and regulations that limit cancellations and non-renewals and that subject business withdrawals to prior approval restrictions could limit our ability to exit unprofitable markets or discontinue unprofitable products in the future.

Provisions in our certificate of incorporation and bylaws may prevent a takeover or a change in management that you may deem favorable.

Our certificate of incorporation and bylaws contain the following provisions that could prevent or inhibit a third party from acquiring us:

- the requirement that only stockholders owning at least one-third of the outstanding shares of our common stock may call a special stockholders' meeting; and
- the requirement that stockholders owning at least two-thirds of the outstanding shares of our common stock must approve any amendment to our certificate of incorporation provisions concerning the ability to call special stockholders' meetings.

Under our certificate of incorporation, we may issue shares of preferred stock on terms that are unfavorable to the holders of our common stock. The issuance of shares of preferred stock could also prevent or inhibit a third party from acquiring us. The existence of these provisions could depress the price of our common stock, could delay, or prevent a takeover attempt or could prevent attempts to replace or remove incumbent management.

Our failure to prevent unauthorized access to confidential electronic information could result in a data breach that may negatively impact our business.

We are dependent upon automated information technology processes. A portion of our business operations is conducted over the internet which increases the risk of improper third-party attacks that could cause system failures and disruptions of operations. In addition, any failure to maintain the security of confidential information belonging to our customers could put us at a competitive disadvantage, result in a loss of customers' confidence in us, and subject us to potential liabilities resulting from litigation, fines, and penalties, which could have a material adverse effect on our results of operations and financial condition.

The payment methods that we offer also subject us to potential fraud and theft by criminals seeking to obtain unauthorized access to or exploit weaknesses that may exist in the payment systems. Such breaches could cause interruptions to our operations, damage to our reputation and our customers' willingness to purchase insurance from us, and subject us to additional potential liabilities resulting from litigation, fines, and penalties, which could have a material adverse effect on our results of operations and financial condition.